MONEY Management

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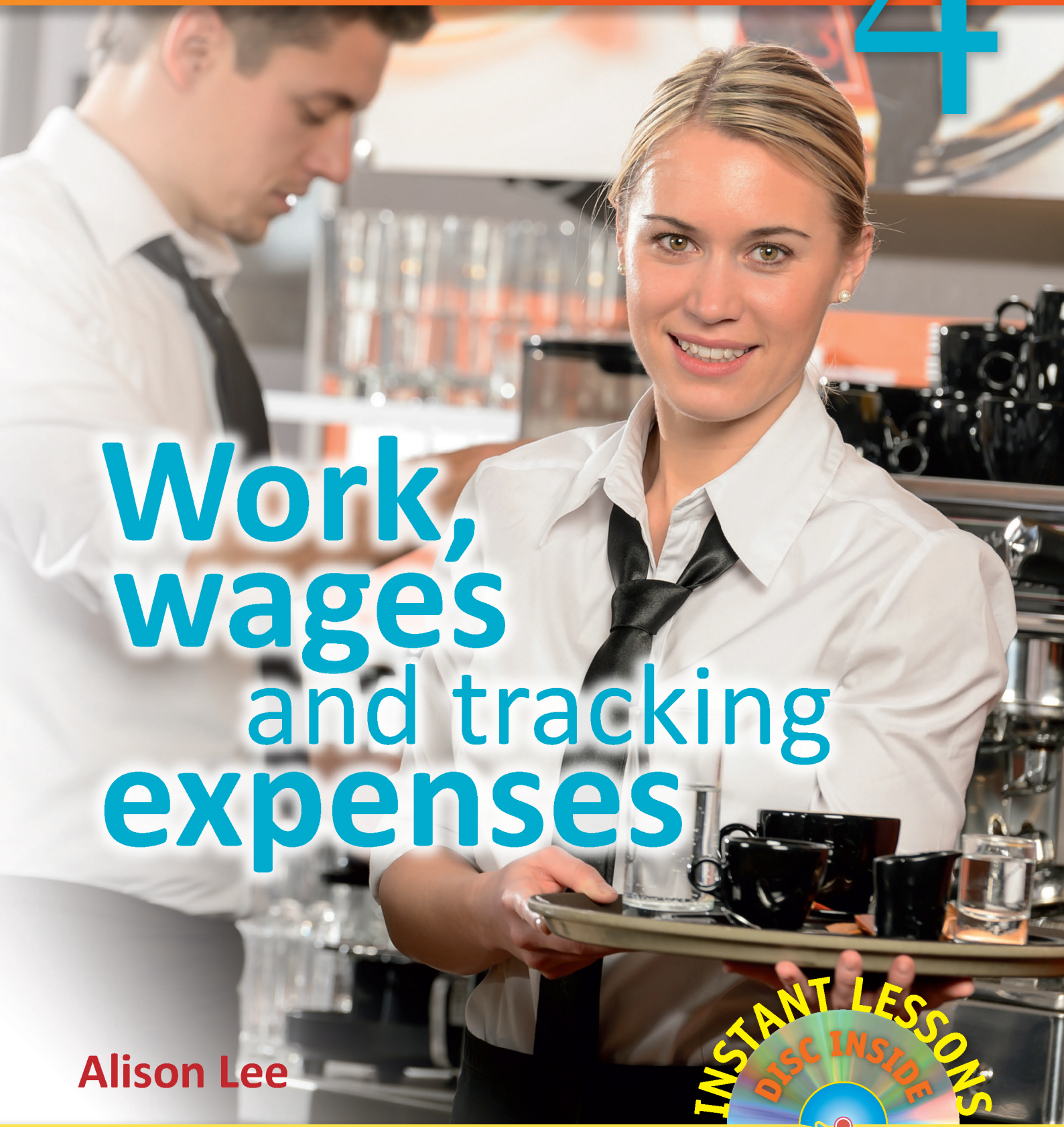

# Work, wages and tracking expenses

Alison Lee

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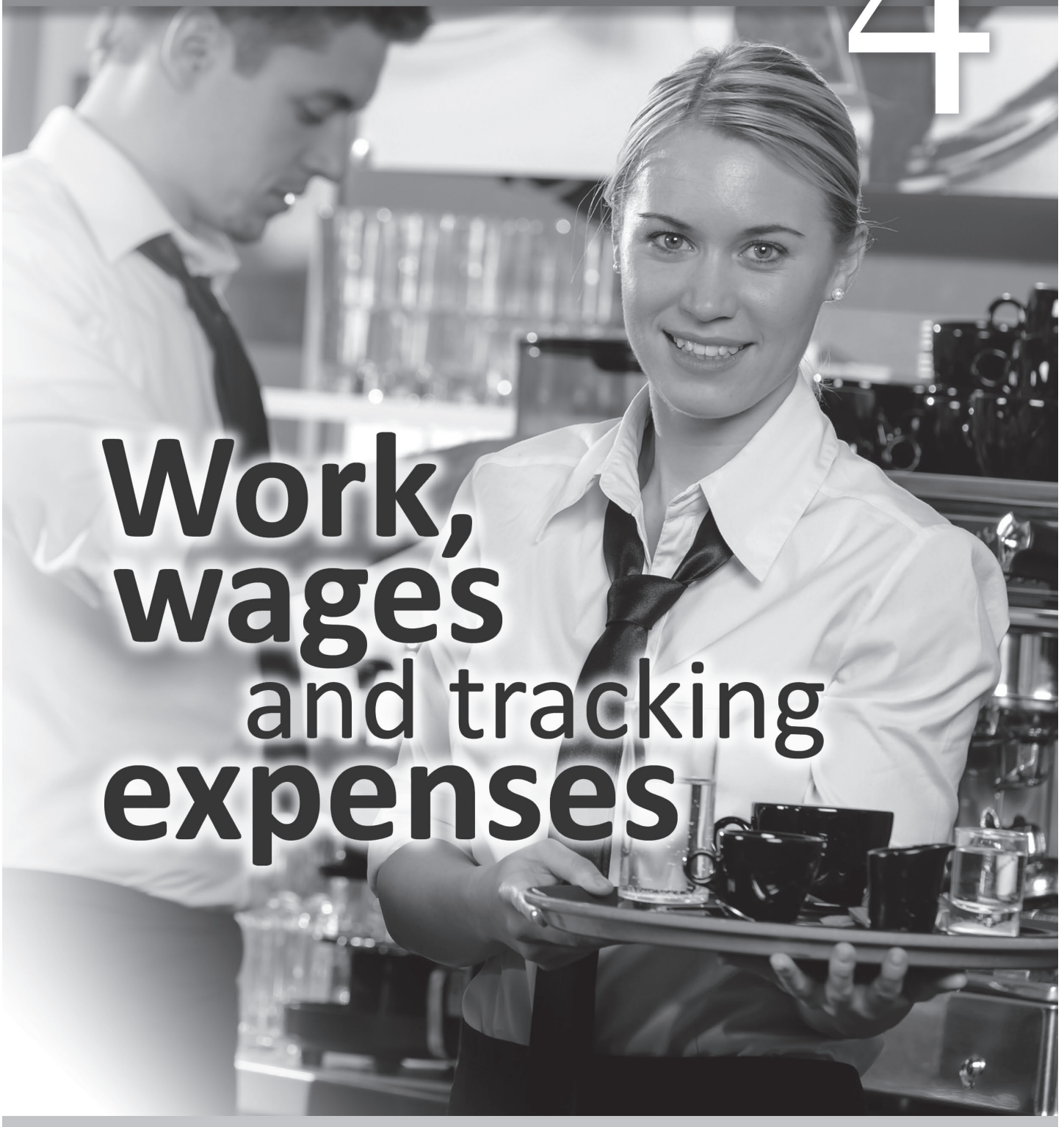

# Work, wages and tracking expenses

Alison Lee

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**Alison Lee** has 25 years' experience as a trainer, curriculum writer and careers consultant for government programs including SkillShare, The Jobs Pathway Programme and Careers Advice Australia. The focus of much of Alison's work has been to provide opportunities for post-school options by linking students and schools to industry and employers through industry visits, mock interviews, newsletters and Adopt-a-School projects. She has presented to students, parents and employers at numerous careers events across Sydney. Her articles have been published in *Indigo* magazine, Sydney University's *Honi Soit* and the *Careers Advisers Association NSW Journal*. She has also written content for Blake Education's *Smart and safe at work* series.

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# Introduction

*Work, wages and tracking expenses* is the fourth book in the *Money management* series. The activities explore different types of work arrangements and ways of getting paid. Emphasis is placed on casual employment issues, understanding rosters and managing personal finances. Each topic has been developed to increase students' practical understanding of the life skills associated with this important topic. The activities also include many opportunities to improve basic literacy and numeracy skills, making them very suitable for students struggling with regular curriculum materials.

# Contents


## Topic 1: **An introduction to work**

1.1 Work crossword 4
1.2 Work values 5
1.3 Students and work 8

## Topic 2: **Different types of work**

2.1 Types of work wordsearch 11
2.2 Different types of work quiz 12
2.3 Full-time permanent work 14
2.4 Permanent part-time work 16
2.5 Casual work 17
2.6 Unpaid and voluntary work 19
2.7 Other types of work and wages 20
2.8 Apprenticeships and traineeships 21

## Topic 3: **Work forms and documents**

3.1 Work forms word chop 22
3.2 Tax forms 23
3.3 Employee information forms 24
3.4 Employment agreements 25
3.5 Rosters – 24 hour clock 26
3.6 Rosters – 12 hour clock 28

## Topic 4: **Wages**

4.1 Wages puzzle 29
4.2 All about awards 30
4.3 Understanding base rates and extras 31
4.4 Superannuation 33
4.5 Deductions and income tax 34
4.6 Getting paid 35
4.7 Keeping records and getting help with your pay 37

## Topic 5: **Income and expenses**

5.1 Income and expenses wordsearch 38
5.2 Income and expenses 39
5.3 Earning an income 40
5.4 Different types of expenses 41

## Topic 6: **Needs and wants**

6.1 Needs and wants puzzle 43
6.2 Needs and wants – what's the difference? 44
6.3 Wants and debt 45
6.4 Which wants don't you need? 46

## Topic 7: **Financial goals and tracking expenses**

7.1 Budgets number puzzle 47
7.2 Financial goals – save now, spend later 48
7.3 Steps to tracking expenses 49
7.4 Amber's expenses – a case study 51

## Topic 8: **Budgets**

8.1 Budgets 55
8.2 Budgets, banks and spreadsheets 57
8.3 Budget tracking tools 59
8.4 Budgeting and expense-tracking apps 60

Selected answers 61


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# 1.1 Work crossword

The word 'work' can have different meanings. For example, there is 'a work of art', we can 'work the soil' and 'work on a project', or we can say: "My computer doesn't work". However, when most people hear the word 'work' they think of employment and jobs.

**Complete the work crossword.**

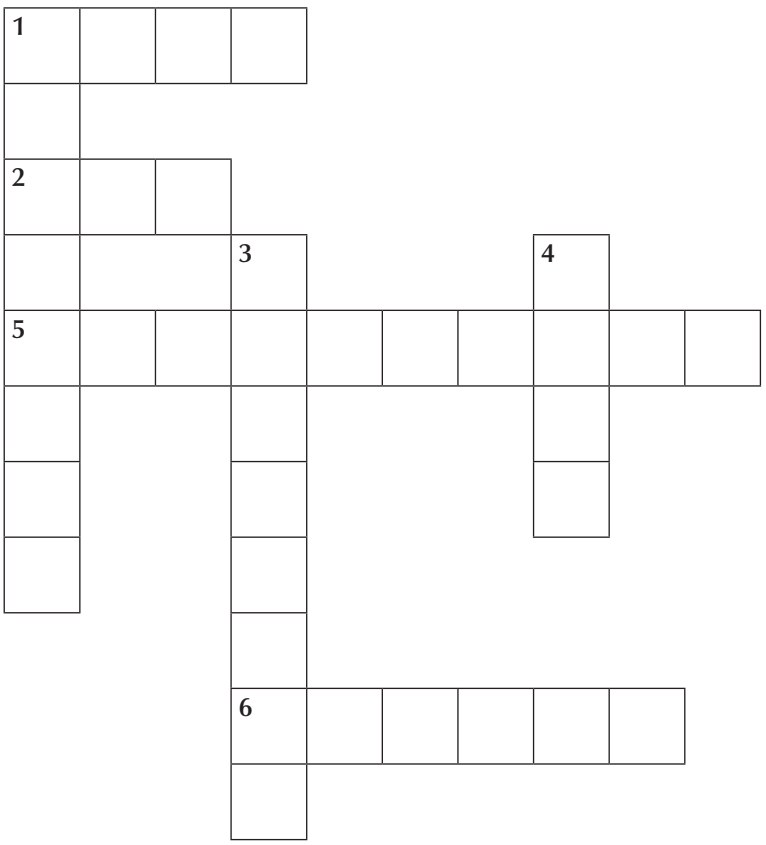
**Clues**

**Across**

1. He works to _____ money.
2. Some people collect their _____ at the end of each week.
5. Teaching is an _____.
6. Some jobs need special _____ and experience.

**Down**

1. Her _____ asked her to work an extra shift.
3. They own a small _____ that employs five people.
4. She needed to _____ more employees for the factory.




**For each answer in the crossword, write another word that has the same or nearly the same meaning (synonym).**

**Across**

1. _____
2. _____
5. _____
6. _____

**Down**

1. _____
3. _____
4. _____

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# 1.2 Work values

Everyone needs money and that is the main reason people work. Job satisfaction is when you feel that your work is rewarding and meaningful.

**Read what these people value most about their work. Underline the key words and phrases that tell you what they find meaningful about their work.**

I'm John and I'm a builder. I love the feeling I get when I finish a project and know I have done a job that I can be proud of. It's also great to work for myself. I have built up an excellent reputation. One of my houses won an award and was featured in a magazine - that was awesome!

Hello, my name is Ann and I work in a restaurant part-time while I study at TAFE. My wages give me the freedom to spend and save without having to rely on my parents. I also love the social life.

Kimberley is my name and I am a dress designer. I love the fact that my work is admired and featured in fashion shows. The income I earn is also very important to me because I want to expand my business and open my own store.

My name is Ahmed and I am new to this country. I work as an accountant for a large company. The best thing about my job is the new people I have met and the good friends I have made. The company has also supported me in settling into the job and into a new way of life.

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# 1.2 Work values (cont'd)

I work in advertising and I look after my two young kids at home three days a week while my wife works. The most important thing about my job is that the company understands this situation and allows me to do a lot of my work from home. Oh yeah - I'm Tino, by the way.

"Hi, I'm Justine and I have my own electrical business. I love being my own boss. I can choose my own days and hours to work, which means I have time to volunteer as a basketball coach two afternoons a week.

My name is Spiro and I have to make large payments each month, including mortgage repayments, electricity bills and school fees. I have a stable, well-paid job as a construction engineer and the high salary is the main reason I work in this job. I must admit I also get a great feeling of satisfaction when I see my projects completed.

Hello! I'm May and I'm a retired nurse. I volunteer at the local primary school two days a week to help students with their reading. I love working with the children and seeing their progress. I also love chatting to the teachers at lunchtime. It feels good to help the community.

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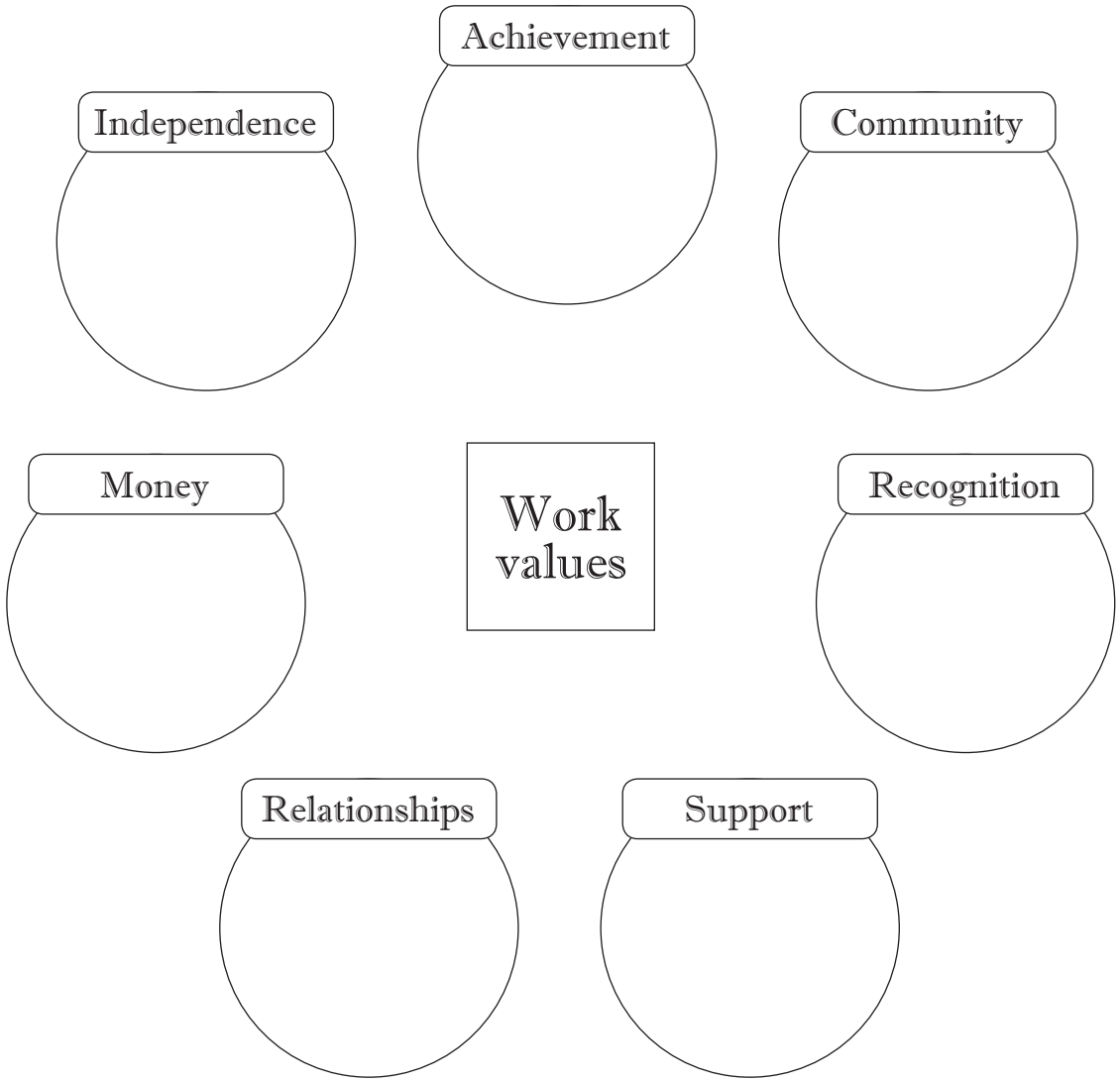
# 1.2 Work values (cont'd)

1 **Look at the work values shown in the diagram. Consider what the people said about their work. Write each person's name in the circle or circles that describe what they value about their work.**




2 **What do you think your most important work values are or will be? List them and explain why.**

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# 1.3 Students and work

**Read the information about the laws regarding work that apply to young people.**

There are laws to protect young people who work while they are still at school. Many students have casual jobs and some start working as soon as they are legally old enough. The legal age at which you can get a job depends on the state or territory of Australia you live in and the type of work you would be doing. For example, at 13 years old you may be old enough to get a job delivering newspapers but not old enough to work in a restaurant or fast food outlet.

There are limits on the times of day and night you can start and finish work and on the number of hours you can work during a school week. There are also laws which restrict young people from working in places that serve alcohol or where there is gambling unless they have special certificates and are at least 18 years old.

1 **How do these laws help to protect students and young people working in casual jobs?**

_____

_____

_____

_____

2 **Use the word bank to complete the information about casual jobs.**

| | | | |
|---|---|---|---|
| • career | • experience | • income | • time |
| • casual | • friends | • reference | • value |
| • dislike | • important | • school | |

Money is often the most _____ reason that young people get casual jobs while they are at _____. Some use their wages to help their family but many young people simply enjoy the freedom and independence of having their own _____ so they can spend it on whatever they like or save it for expensive items such as computers, cars or holidays.

Some people believe _____ jobs teach them the _____ of money and how to manage their money. Some believe their jobs teach them strong organisational skills as they have to learn how to manage their _____ efficiently. Other reasons for working include getting the opportunity to make _____ outside school and becoming more involved in the 'real world' and the local community.

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# 1.3 Students and work (cont'd)

Casual work gives you the chance to learn employability skills such as communication, teamwork, problem solving, initiative and enterprise, planning and organising, self-management, learning on-the-job and the use of technology. You also gain _____ in the workplace which could help you get a different or full-time job when you leave school. If you do your job well you can get a good _____ from your employer. Working can also help you figure out what you like or _____ about work and the workplace, which is useful when deciding on a future course or _____.

3 **Some students choose not to do casual work or cannot get casual work. Think of four reasons for this. List them.**

a _____

b _____

c _____

d _____

There are many things to consider when deciding whether to work while you are still at school. Understanding what is most important to you can help you make the right decision.

4 **Use these codes to identify how important these things are to you:**
**1 – Very important 2 – Fairly important 3 – Not important.**

| | **Importance? 1, 2 or 3** |
|---|---|
| Spending time on Facebook and playing computer games | |
| Having time to study to get good school results | |
| Earning your own money and having the freedom to buy what you like | |
| Being independent and not relying on your parents for money | |
| Meeting new people and having a life outside school | |
| Learning new skills and finding out what jobs you like | |
| Getting experience in the workplace to help your future career | |
| Not having to worry about whether work will interfere with your social life | |
| Not having the stress of juggling school and work | |
| Earning money to help your family | |

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# 1.3 Students and work (cont'd)

After completing school, many young people go on to further study at TAFE, university or private college, or apply for apprenticeships or traineeships. Some decide to take a 'gap year' and work full-time or travel and work overseas. However, most young people need to apply for some type of full-time or casual employment.

5 **Do you think employers are more likely to hire young people who had a casual job while at school? Explain your answer.**

_____

_____

6 **Use what you have read and considered in this topic to complete the table below.**

## Advantages and disadvantages of getting a casual job while at school

| Choice 1: Get a casual job | Choice 2: Don't get a casual job |
|---|---|
| **Advantages** | **Advantages** |
| **Disadvantages** | **Disadvantages** |

7 **Weigh up the advantages and disadvantages. What is the right decision for you? Why?**

_____

_____

_____

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# 2.1 Types of work wordsearch

**Find the seven words relating to different types of work in this wordsearch.**
**Words go in these directions: ➔ ➔ ➔ ➔ ➔ ➔.**

| | |
|---|---|
| part-time | permanent |
| casual | contract |
| work | money |
| unpaid | |

| | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| p | a | r | t | t | i | m | e | o | c |
| h | e | d | y | v | q | d | q | i | o |
| e | o | r | j | e | k | l | n | k | n |
| t | r | k | m | j | n | i | b | r | t |
| p | p | j | u | a | n | o | o | o | r |
| n | i | s | g | c | n | y | m | w | a |
| r | b | h | o | a | n | e | t | v | c |
| u | n | p | a | i | d | o | n | v | t |
| h | e | r | z | x | a | s | m | t | v |
| l | a | u | s | a | c | f | p | t | o |

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# 2.2 Different types of work quiz

There are many types of work arrangements and it is important to understand the differences between them.

**Circle a, b or c to answer these questions.**

1 **Fixed-term contract work is work that people do**

a on a contract with a starting date but no finishing date.

b for one school term or semester while at school.

c on a contract that specifies the dates the work will start and finish.

2 **Voluntary work**

a does not help you because you don't get paid for your work.

b is for anyone who wants to help their community; it can teach you valuable skills and provide experience which can help with getting a paid job.

c is usually just for older people who have retired.

3 **When working for 'commission only', you**

a get a regular wage plus a percentage of your sales.

b always make heaps of money because you get a percentage of what you sell.

c can work hard but may not earn anything if you don't make any sales.

4 **Casual work is**

a when you can always choose the hours or days you want to work.

b temporary, paid hourly and you can be offered irregular shifts.

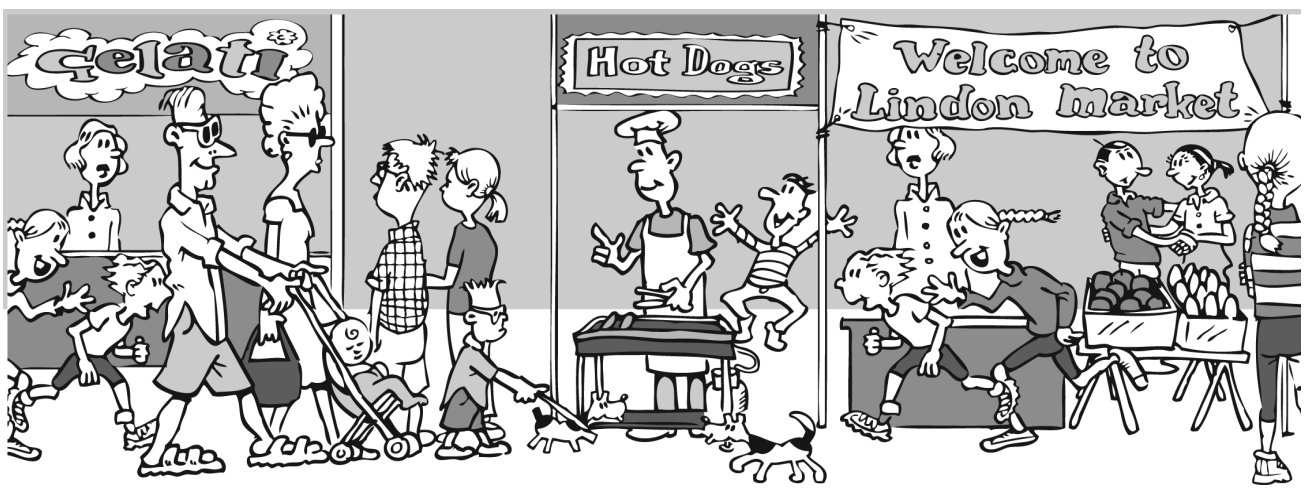
c flexible, fairly laid-back and relaxed.

5 **A traineeship is work that**

a is on a train or a cruise ship.

b provides training, qualifications and wages.

c provides training and qualifications but no wages.





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# 2.2 Different types of work quiz (cont'd)

6 **If you have a permanent full-time job and have worked continuously for 12 months you are usually entitled to**

a stay in the job for another 12 months but without holiday or sick pay.

b sick leave but no holiday pay.

c sick leave and holiday pay with holiday pay loading.

7 **If you are employed to do 'piece work' it means that you**

a are paid a fixed rate for each piece of work completed or action performed.

b work to complete a piece of work and always get paid by the hour.

c are paid to pick up pieces of rubbish in the workplace.

**Now get your teacher to provide the number of points for each answer. Add your points to find your total score.**

**Score: _____ points**

If you scored 7–10 points: Whoops! You definitely need to learn more about work.

If you scored 11–18 points: Sometimes you are on the right track but you need to get your facts right.

If you scored 19–21 points: Well done! You are off to a good start as you already understand some important facts about work and employment.

8 **The terms listed below relate to work. Underline any terms you think are spelled incorrectly and write the correct spelling. Then circle any terms you don't understand.**

a entitlemants _____

b minimim wage _____

c temporary employment _____

d penalty rates _____

e casual loding _____

f permanant employees _____

9 **What is one thing relating to work that you really want to know more about?**

_____

_____

_____

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# 2.3 Full-time permanent work

Sam has left school and wants a permanent full-time job.
He sees the advertisement below and decides to apply for the job.

**Position vacant: Full-time Junior Office Assistant**

We are seeking a motivated and enthusiastic junior to work in the administration section of our busy shoe design company. Experience is not necessary but applicants should be confident in the use of Microsoft Word and Excel, have good communication skills, work well in a team and be reliable and punctual. A willing, enthusiastic attitude is essential. The successful applicant will receive:

- on-the-job training
- gross wage of $450 per week plus 9.25% superannuation
- 10 days sick/personal/carers leave per annum
- 4 weeks paid annual leave per annum
- 17.5% annual leave loading after 12 months

You will be required to work 38 hours per week, 9 a.m. to 5 p.m., Monday to Friday, with overtime and applicable penalty rates paid for work outside these hours.

Post your resume and handwritten cover letter to:
The Manager
PO Box 987
Anytown NSW 1212

**1 Write each term beside the correct definition.**

| | | | |
|---|---|---|---|
| • annual leave | • net wage | • per annum | • superannuation |
| • gross wage | • overtime | • sick/personal/ carers leave | |
| • leave loading | • penalty rates | | |

a _____:
The amount of your wage before tax is taken out

b _____:
The amount of your wage after tax is taken out

c _____:
Money your employer pays into a fund for your retirement

d _____:
Paid days off work when you are sick or injured or have to care for a member of your family

e _____:
Paid days or weeks for holidays

f _____:
An extra amount paid for working on weekends or public holidays

g _____:
Days or hours worked outside of the time normally worked

h _____:
Two words that mean 'each year'

i _____:
An extra amount paid to you when you take your holidays. This is usually 17.5% more than your regular pay.


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# 2.3 Full-time permanent work (cont'd)

2 **Sam got the job and has been working continuously for 12 months. He hasn't taken any days off during that time. He meets up with a friend who asks him the questions listed below. Write 'yes' or 'no' to answer the questions for Sam.**

| | | |
|---|---|---|
| a | Is your job full-time? | |
| b | If you have proof that you need to stay at home for two days because your Mum is sick and you need to look after her, do you still get paid? | |
| c | If you are sick or injured and have a doctor's certificate to say that you need a week off, will you still get paid? | |
| d | If you work for a year then take four weeks off work to go on holidays, do you still get your wages? | |
| e | Do you get paid extra if you have to work on Sundays? | |
| f | Does your employer pay money into your superannuation fund? | |

Leave loading is an extra amount (a bonus) which may be paid to full-time employees when they take their holidays (annual leave). The extra amount is usually 17.5% of their weekly wage for each week they are on holidays, plus their regular wage.

Emily's weekly wage is $500.00. She has been working full-time for one year and is taking four weeks of paid annual leave. Her award entitles her to receive four weeks of leave loading. Emily's employer calculates her total holiday pay like this:

4 weeks' wages @ $500.00 per week = $2000.00
4 weeks' leave loading (17.5% of $2000.00) = $350.00
Total = $2350.00

Tip: To use a calculator to work out Emily's leave loading amount, press these keys:

3 **Sam wants to take two weeks of paid annual leave. He knows that he will be paid his normal weekly wage of $450. His boss says Sam will also get leave loading which is 17.5%. Sam wants to work out how much his total holiday pay will be.**

**Complete the calculation to find out how much Sam's holiday pay will be.**

2 weeks' wages @ $450.00 per week = $_____
2 weeks' leave loading (17.5% of $900.00) = $_____
Sam's total holiday pay = $_____

4 **Each week Sam's employer pays 9.25% of his gross weekly wage of $450.00 into his superannuation. How much is that?**

$450 × 9.25% = $_____

5 **How many regular hours does Sam work each fortnight?** _____

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# 2.4 Permanent part-time work

**Read the information about permanent part-time work then answer the following questions.**

Many people confuse part-time work with casual work. This is because people say that they only work part-time, meaning they don't work full-time each week. When you get a job it is important to know whether you will be paid as a part-time or casual employee. It is much more common for students to be employed as casuals.

Part-time employees usually have on-going employment for a fixed number of hours and days each week. This is sometimes called **permanent part-time work**. They usually receive similar entitlements (benefits) to full-time employees. These entitlements can include paid annual leave, annual leave loading, sick leave and personal leave. The amount part-time employees receive in entitlements is based on the number of hours they work each week. Employers are required by law to pay a minimum rate of superannuation to their employees.

I'm Jenny and I work as a permanent part-time employee. I work 8 hours every Monday, 7 hours every Wednesday and 5 hours every Friday, so a total of 20 hours each week.

Under my award, if I work for a full year I'm entitled to four weeks' annual leave (my weekly wage × 4). I also get 17.5% annual leave loading (17.5% of my weekly wage × 4).

1 **If Jenny is paid $22.00 per hour, what is her gross (before tax) weekly wage?**

**$**_____

2 **What would be the gross amount of Jenny's 4 weeks' paid annual leave?**

**$**_____

3 **What is the gross amount of Jenny's 4 weeks' annual leave loading?**

**$**_____

**James works a full-time job for 40 hours each week and his annual (52 weeks) salary is $56,500. Peter works at the same company for the same rate of pay but he is employed part-time. He works 20 hours each week.**

4 **What is Peter's annual salary?** **$**_____

5 **What is Peter's weekly wage?** **$**_____


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# 2.5 Casual work

**Read the information about casual work then answer the questions on the next page.**

Most students are employed on a casual basis and, like most things in life, there are advantages and disadvantages.

**Let's start with the not-so-good news about casual work.**

- There are no fixed hours or days of work, so your income is not regular.
- The number of shifts you are rostered on for can vary from week to week.
- It can be difficult to plan your social life until you have your roster.
- Your employment can be terminated without notice.
- There is no paid sick leave or holiday pay.

**Now some good news about casual work.**

- Casual workers get paid an extra percentage per hour because they don't get sick leave or holiday pay. This is called *casual loading*.
- If you work in hospitality – for example, in a café or hotel – you might get tips as well as your wage.
- After school hours, weekends, public holidays and school holidays are often the busiest times for retail, fast food outlets and cafés. These are all times during which students are often available for casual work.
- Students can usually negotiate with their employers to take time off during exams.
- Casuals are often paid an extra amount per hour for working at different times such as late evenings, weekends or public holidays. These are called *penalty rates*. The extra amount you receive depends on the award or agreement you are covered by.
- Casual workers learn new skills and gain life experience and work experience.

**Be aware!**

- You should be paid for all the hours you work. If you are asked to do a one-week trial or given a probation period, you should be paid for this time. Casual workers are paid by the hour which means that if you are asked to come in before your shift to 'open' or 'close' the business, you should be paid for this time.
- A young worker at, for example, a fast food outlet, can be employed on a casual basis or on a traineeship. Sometimes young workers sign a traineeship agreement without clearly understanding what they are signing up for. There is a big difference between casuals and trainees in terms of wages, training and conditions of employment.

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# 2.5 Casual work (cont'd)

1 Abdul is employed as a casual cashier in a supermarket. He wants to take two weeks off during his exams. Will he get paid for these two weeks?

2 Alex works as a casual in a café and has agreed to work a shift on Christmas Day. Do you think she will be paid an extra amount for this shift?

3 Claire and Elissa are the same age and do similar work in an office. Claire works on a full-time basis and her hourly rate is $22.00. Elissa works on a casual basis and she gets 15% more per hour than Claire because she doesn't get full-time entitlements such as paid annual leave and personal leave (sick pay). What is Elissa's hourly rate?

4 Nathan applies for a job in a video store and is asked to work on a trial basis. He works for three days and is then told that he is not suitable for the job. Should Nathan be paid for the three days that he worked?

5 Tom has been working as a casual in a surf shop during the summer school holidays. He has been getting three or four shifts each week, but at the end of January the boss says he no longer needs Tom as business has slowed down. Is the boss allowed to do this?

6 Amy is a casual worker. She has been told by her employer to arrive 15 minutes before her shift starts to open the shop and set up stock before customers arrive. Should she be paid for this time?

7 In the table below, list three types of businesses you think would employ casual workers. Beside each one, list the times of day, days of the week or months during the year when you think they would be busiest and need more staff.

| Type of business | Busy times of the day, week and year |
|---|---|
| | |
| | |
| | |

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# 2.6 Unpaid and voluntary work

**1** **Use the word bank to complete the information about voluntary and unpaid work.**

| | | |
|---|---|---|
| • benefits | • environment | • motivated |
| • charities | • essential | • skills |
| • difference | • home maintenance | • time |

Does unpaid work still count as work? Absolutely! Did you know that approximately half of the work done in Australia is unpaid or voluntary? This work is _____ to our society, and every day millions of people do voluntary or unpaid work.

Almost everyone does unpaid work in the home: housework, child-minding, cooking and _____ _____. Voluntary workers are those who work without pay to contribute to the community. They volunteer their time and skills to schools, not-for-profit organisations, sporting clubs and _____ . Without volunteers we would do without many vital services that help people in need and improve our communities and the _____.

So why do people volunteer their _____ when they could be relaxing or being paid to work? Volunteers often say that it feels great to know their work makes a _____ to the lives of other people. There are many other _____ associated with volunteer work which you may not have considered. Think about what employers ask for in their job advertisements – they want people with _____, work experience and referees, who are _____ and willing to work. Voluntary work can provide all of these things.

**2** **Are these statements true or false?**

a You can gain work skills, experience and referees if you are a hard-working and responsible volunteer. ☐

b When you volunteer you can meet many different types of people you would not usually meet. ☐

c If your resume shows that you have volunteered, it can help you to get a paid job. ☐

d The work experience you get from volunteering can help with deciding on a course or career. ☐

e Research has shown that doing voluntary work can make you healthier and happier. ☐

**3** **List three types of volunteering work you would be interested in doing.**

_____

_____

_____

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# 2.7 Other types of work and wages

**Read the information about fixed-term contract work, temporary work and labour hire, working for commission and piecework. Then answer the following questions.**

**Fixed-term contract work** is usually done by workers with particular skills and experience who are needed for a specific job or project. Generally these workers are needed for a certain time, such as two weeks or during the snow season.

**Working for commission** means you get a percentage of each sale you make. Working for 'commission only' is illegal unless you are self-employed or working in real estate or in car sales. You should always receive the minimum wage for work that you do so make sure you understand what is involved before you accept a job that involves commission.

**Temporary work and labour hire** is short-term work. Employers often hire full-time or part-time temporary staff in busy times or when a full-time staff member is on leave. The job can be for days, weeks or months. Many employers find it easier to pay an agency to supply experienced workers. In these situations, the agency pays the workers an hourly casual rate. This is often called *labour hire* when the job involves manual work; for example, in manufacturing, trades or construction.

**Piecework** employees are paid a fixed amount for each unit they produce. The unit could be a piece of clothing or furniture you make, or a bucket of fruit you pick. So the faster you work, the more money you make.

1 **Dave is a chef who likes skiing. He works for a hotel in the snowfields. Explain why a fixed-term contract would suit him and his employer.**

_____

2 **Jodie is an accountant. In a few months' time, her part-time bookkeeper will be taking four weeks of annual leave. Jodie decides to advertise for someone to fill in during that time. What type of employee does she need: full-time permanent, part-time temporary or full-time temporary?**

_____

3 **A manufacturing company receives a large number of unexpected orders and urgently needs a licensed and experienced forklift driver for two weeks. The manager doesn't have time to advertise and do reference checks as he needs someone to start the next day. What would be a good solution to his problem? Why?**

_____

_____

4 **Maria is paid $38.00 for each bucket of fruit she picks. If she picks six buckets of fruit every day for three days and seven buckets each day for two days, how much would she earn?** **$**_____


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# 2.8 Apprenticeships and traineeships

**As you read the information below, underline the key points and highlight anything you do not understand. Then complete the following questions.**

## Apprenticeships and traineeships in Australia

- These systems combine paid work with training in a wide range of industries.
- They can be full-time or part-time.
- You may be able to start one while you are still at school.
- Training is on-the-job and/or off-the-job at college, TAFE or online.
- Apprenticeships or traineeships are offered in approximately 500 different occupations.
- The qualifications earned can be used to get a full-time job, continue studying or start a business.
- Training is competency-based, which means you are assessed on your knowledge and the skills you can perform.

What's the difference between an apprenticeship and a traineeship?

**Apprenticeships** take longer to complete (usually 3–4 years) and include traditional trades such as plumbing, carpentry, electrical and hairdressing.

**Traineeships** are shorter (usually 1–2 years) and can be in industries such as fast food, hospitality, retail, information technology and business.

- Rates of pay depend on the type of apprenticeship or traineeship you are doing, your age and sometimes your level of education.
- Because you are being trained as you work, the pay rate is usually less than for casual, part-time or full-time jobs.
- Make sure you understand all the details before you sign a contract or training agreement.

1 **Would you complete an apprenticeship or a traineeship for these industries? Write each industry in the correct row of the table.**
**Industries: business, hairdressing, information technology, plumbing, retail.**

| | |
|---|---|
| **Apprenticeship** | |
| **Traineeship** | |

2 **Are these statements about apprenticeships and traineeships true or false? Edit each false statement to make it true.**

a You are assessed only on your knowledge, not on the skills you can perform. _____

b You are not paid while doing an apprenticeship or traineeship. _____

c Apprentices and trainees are paid at the same rate as casual workers. _____

d You can complete a traineeship on a part-time basis. _____

e It takes longer to complete a traineeship than an apprenticeship. _____

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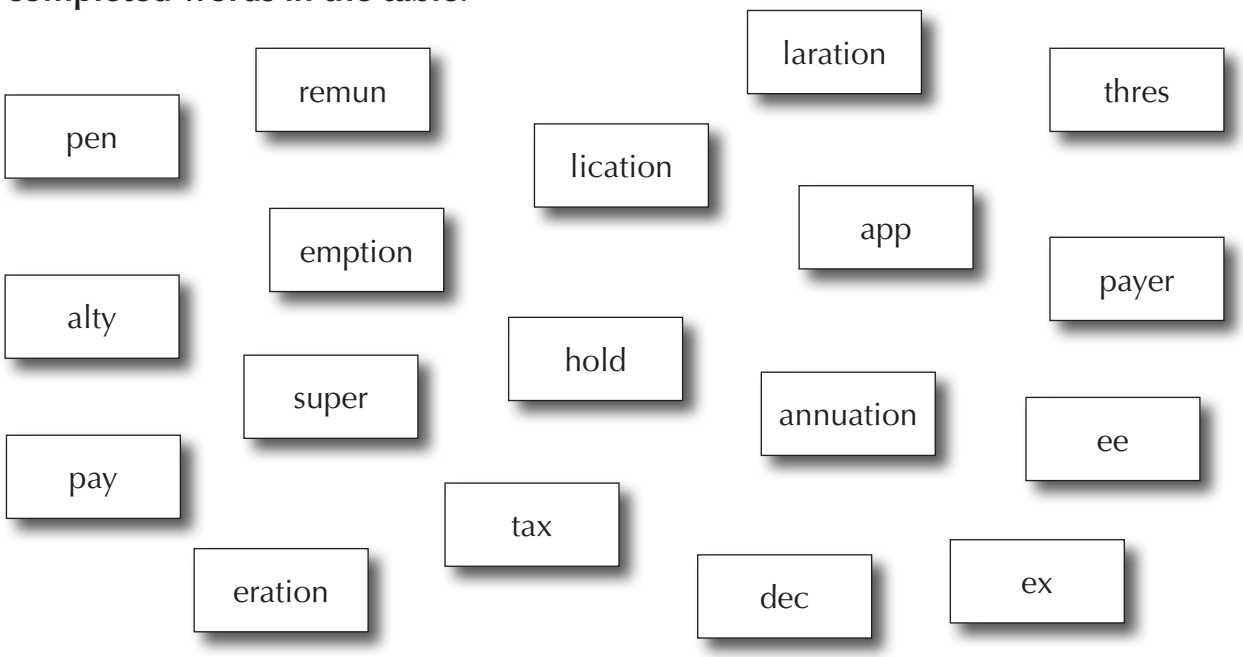
# 3.1 Work forms word chop

**Nine words that are found in many work-related forms have been chopped into two pieces, which you can see below. Find the pieces that fit together and write the completed words in the table.**




| | | |
|---|---|---|
| | | |
| | | |
| | | |

**Now write each completed word beside the correct definition.**

| Word | Definition |
|---|---|
| a | a punishment or fine |
| b | a person who pays tax |
| c | the person who receives a payment |
| d | an official written statement to declare or state something |
| e | a written request to apply for something |
| f | permission to avoid doing or paying something |
| g | the upper limit or highest amount |
| h | regular payments into a fund that can be accessed when you retire |
| i | wages, salary or payment for work |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# 3.2 Tax forms

**Read the information about tax file numbers then answer the following questions.**

## Tax file number (TFN)

The Australian Taxation Office issues tax file numbers to people who work in Australia. This allows the government to manage and keep track of tax records. If you don't have a tax file number, your employer will have to take more tax from your wages. You only get one TFN in your lifetime, so keep it safe and private. Don't share it with your friends, put it on the Internet or store it in your phone.

If your school is part of the Secondary Schools TFN Program, you could get a tax file number through school. If not, visit the website www.ato.gov.au for information about getting a tax file number. It is a good idea to organise this before you start looking for jobs as it can take 28 days to process your application. If you are under 16 years you will need a parent or guardian to sign the application. You will also need to provide *proof of identify* documents such as your birth certificate, passport or Medicare card.

## Tax file number declaration

When you start a job you will be asked to fill out a tax file number declaration. This is a form on which you declare or state your tax file number, which allows your employer to take the correct amount of tax from your wages. Your *gross wage* is the total amount you earn before tax is taken out. Your *net wage* is the amount you have left after tax has been taken out.

1 **Penny has filled out a tax file number declaration for her employer. Her gross wage is $400 per week. Her employer will deduct $9.00 each week from her wages. What will be Penny's net wage (amount she gets after tax is taken out)?**

$

2 **Sam doesn't have a TFN so cannot fill out a tax file number declaration. His wages are $400 per week but his employer must deduct $92.00 from his wages each week. What will Sam's net wage be?**

$

3 **Sam gets a TFN and fills out a tax file number declaration for his employer. How much more will his net wage be?**

$

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# 3.3 Employee information forms

**Most employers expect you to complete an employee information form. Complete the activities below to familiarise yourself with the terminology generally used in these forms.**

1 **Read the employee information listed in the table and explain why you think the employer needs this information.**

| *Employee information* | *Why does the employer need this?* |
|---|---|
| a Full name, home address, home and mobile numbers, email address | |
| b Date of birth (if under the age of 21 years) | |
| c Contact details of person/s who can be contacted in an emergency | |
| d Are you an Australian citizen or permanent resident? | |
| e Bank name and branch, account name and number | |
| f Superannuation fund name and number | |
| g Photo ID (student ID card or driver's licence) | |

2 **The table below lists some common terms used in employment forms. Tick or cross each definition to show if it is correct or incorrect. Then edit the incorrect ones to make them correct.**

| Definition | ✓ or ✗ |
|---|---|
| a **Next of kin** is your neighbour. | |
| b **Payer** is the person who is being paid. | |
| c A **given name** is the same as a surname. | |
| d Your **surname** is your family name. | |
| e The **position title** is the name of your job or role; for example, cashier. | |
| f **Gender** is your sex (male or female). | |
| g **Spouse** refers to your husband or wife. | |
| h **'Office use only'** means that if you are filling out the form when you are in an office, you should write in that space. | |

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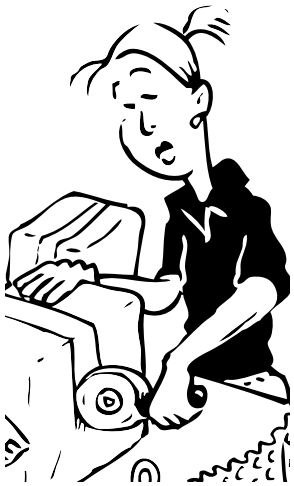
# 3.4 Employment agreements

**Read the information about employment agreements then answer the following questions.**



When you start a new job, there is a lot of important information that should be given to you by your employer. This is sometimes in the form of an *employment agreement* but can also be called a *letter of engagement*, *offer of employment* or *employment contract*. By signing it, you are agreeing to certain terms and conditions of employment. Before you agree to or sign anything, you need to be sure you understand it! For example, if you want to work as a casual, make sure you're not signing a training contract as a part-time trainee.

So, what important information should be given to you? If it isn't provided, what questions do you need answered?

1 **What do you think you need to know about each work-related thing listed in the table below? Record your ideas in the second column of the table.**

Tip: Think: **Who? What? When? Why? How?** Or look at 'My Employment Checklist' at: www.fairwork.gov.au

| | Details I need to have and understand |
|---|---|
| **Pay** | |
| **Hours** | |
| **Job** | |
| **Training** | |
| **Uniform** | |
| **Breaks** | |
| **Other** | |

2 **There are seven spelling errors in this information about forms and documents. Circle the misspelled words and write them correctly in the spaces below.**

It is very importent that you understand everything in forms that you sign. You should know why you have to sign and what the form is used for. If you are under a certain age, your parant or guardian may have to sign the form. You should start a work file with seperately labeled compartments so that your copys of documents, payslips, rossters and other workplase papers are safe and well-organised.

a _____ e _____

b _____ f _____

c _____ g _____

d _____

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# 3.5 Rosters – 24 hour clock

**Read the information about rosters then answer the following questions.**

A roster is a timetable showing the days and hours (shifts) that staff are working. Some rosters are accessed by logging into the company website or are sent to staff by email or text message. Rosters may also be displayed in the company office or staffroom.

If the roster is available on your computer, print it and set yourself reminders on your phone, computer and calendar. Make sure you always keep a copy of your roster with you so you can plan your weekly activities and make changes if necessary.

Some rosters, like the one below, use a 24 hour clock. For example, 01:00 is 1 am in the morning and 13:00 is 1 pm in the afternoon.

Tip: If the roster is displayed in the staffroom and you have a camera on your phone, use it to take a photo of the roster.

1 **Write these 24 hour times as 12 hour times. Include 'am' or 'pm'.**

a 16:00 _____ c 23:00 _____

b 03:00 _____ d 8:00 _____

**Use this staff roster from Riordan's Gourmet Café to answer the questions on the next page.**

**RIORDAN'S GOURMET CAFE – Staff roster for casual employees, week ending 7 September 2014**

**Staff: If you are unable to work these shifts, notify the manager immediately.**
**Ensure you take your rostered meal breaks in the 6 and 8 hour shifts.**

| Employee name: | | Noah S | Mia B | Laina B | Louie F | Glen W | Tom J |
|---|---|---|---|---|---|---|---|
| Monday 1 Sept 14 | *Start* | 07:00 | 07:00 | 13:00 | 13:00 | 19:00 | |
| | *Meal break* | 10:00–10:30 | 10:30–11:00 | 16:00–16:30 | 17:00–17:30 | | |
| | *Finish* | 13:00 | 13:00 | 19:00 | 19:00 | 23:00 | |
| Tuesday 2 Sept 14 | *Start* | 07:00 | 07:00 | 13:00 | 13:00 | 19:00 | |
| | *Meal break* | 10:30–11:00 | 10:00–10:30 | 16:00–16:30 | 17:00–17:30 | | |
| | *Finish* | 13:00 | 13:00 | 19:00 | 19:00 | 23:00 | |
| Wednesday 3 Sept 14 | *Start* | 07:00 | 07:00 | 13:00 | 13:00 | 19:00 | |
| | *Meal break* | 10:00–10:30 | 10:30–11:00 | 16:00–16:30 | 17:00–17:30 | | |
| | *Finish* | 13:00 | 13:00 | 19:00 | 19:00 | 23:00 | |
| Thursday 4 Sept 14 | *Start* | 07:00 | 07:00 | 13:00 | 19:00 | 19:00 | 16:00 |
| | *Meal break* | 10:00–10:30 | 10:30–11:00 | 16:00–16:30 | | | |
| | *Finish* | 13:00 | 13:00 | 19:00 | 23:00 | 23:00 | 20:00 |
| Friday 5 Sept 14 | *Start* | 07:00 | 07:00 | 13:00 | 19:00 | 19:00 | 16:00 |
| | *Meal break* | 10:00–10:30 | 10:30–11:00 | 16:00–16:30 | | | |
| | *Finish* | 13:00 | 13:00 | 19:00 | 23:00 | 23:00 | 19:00 |
| Saturday 6 Sept 14 | *Start* | 13:00 | 13:00 | 06:30 | 19:00 | 19:00 | 06:30 |
| | *Meal break* | 16:00–16:30 | 16:30–17:00 | 10:30–11:00 | | | 10:00–10:30 |
| | *Finish* | 19:00 | 19:00 | 13:00 | 23:30 | 23:30 | 13:00 |
| Sunday 7 Sept 14 | *Start* | | | | 07:00 | 07:00 | |
| | *Meal break* | | | | 11:00–11:30 | 11:30–12:00 | |
| | *Finish* | | | | 14:30 | 14:30 | |


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# 3.5 Rosters – 24 hour clock (cont'd)

2 The casual staff at Riordan's café start work 30 minutes before the café opens for business so they can prepare for customers. They work for a further 30 minutes after the café closes to tidy up and get ready for the following day. Use the staff roster to work out the opening and closing hours for the advertisement at the right. Write the 12 hour times and include 'am' and 'pm'.

**RIORDAN'S GOURMET CAFE**

***Fine food & coffee – service with a smile!***

**Opening hours**

Monday to Friday: _____ to _____

Saturday: _____ to _____

Sunday: _____ to _____

3 How many shifts is Noah working this week? _____

4 Are all Noah's shifts for 6 hours? _____

5 Noah tells his manager that he can't work his Wednesday morning shift but is free to work from 1 pm. His manager asks Noah to find someone who is working that day to swap with. Who could he ask? _____

6 The rostered hours of which staff member suggests that she or he is a school student?

_____

7 Laina is invited to a party on Saturday night. Is she working? _____

8 In which shift on Monday, Tuesday and Wednesday is only one casual rostered on?

From _____ to _____

9 Who is the only person rostered on for the latest night shift on Monday, Tuesday and Wednesday?

_____

10 Staff get a 30 minute meal break for shifts longer than five hours. Why does Tom only get one meal break for the week?

_____

11 Louie asked his manager a few weeks ago if he could have the afternoon or evening shifts from 1–6 September. Has his manager given Louie the shifts he wanted? _____

12 What is the total number of hours Glen is rostered on to work, including meal breaks?

_____

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# 3.6 Rosters – 12 hour clock

**Use the roster below to answer the following questions.**

A 12 hour clock uses *am* for the 12 hours from midnight to midday and *pm* for the 12 hours from midday to midnight. The staff roster below uses a 12 hour clock.

| SUPER DUPER SUPERMARKET - Staff Roster for week beginning 8 September 2014<br>RDO = Rostered Day Off. Note: closed Sunday. | | | | | | |
|---|---|---|---|---|---|---|
| **Staff** | **Mon 8/9** | **Tues 9/9** | **Weds 10/9** | **Thurs 11/9** | **Fri 12/9** | **Sat 13/9** |
| **Lee F** | | 8 am–12 noon | | | 8 am–12 noon | 8 am–12 noon |
| | RDO | | 12 noon–5 pm | | | |
| | | | | 5 pm–9 pm | | |
| **Joe B** | | | | 8 am–12 noon | | |
| | 12 noon–5 pm | 12 noon–5 pm | RDO | | | |
| | | | | | 5 pm–9 pm | 5 pm–9 pm |
| **Lin V** | | | | | 8 am–12 noon | 8 am–12 noon |
| | | RDO | | | | |
| | 5 pm–9 pm | | 5 pm–9 pm | 5 pm–9 pm | | |
| **Con S** | 8 am–12 noon | 8 am–12 noon | | | | |
| | | | 12 noon–5 pm | RDO | | |
| | | | | | 5 pm–9 pm | 5 pm–9 pm |
| **Ann G** | | | 8 am–12 noon | 8 am–12 noon | | |
| | RDO | 12 noon–5 pm | | | 12 noon–5 pm | 12 noon–5 pm |
| | | | | | | |
| **Bill C** | | | | | 8 am–12 noon | 8 am–12 noon |
| | RDO | | | | | |
| | | 5 pm–9 pm | 5 pm–9 pm | 5 pm–9 pm | | |
| **Ali J** | | | | | | |
| | RDO | RDO | RDO | RDO | | |
| | | | | | 5 pm–9 pm | 5 pm–9 pm |

1 **Does every staff member get at least one day off in this roster?** _____

2 **The rostered hours of which staff member suggests he or she is a student?** _____

3 **How many hours will Lin V work in the week 8–13 September?** _____

4 **How many morning shifts is Con rostered on to work?** _____

5 **Is Bill C free to go to the movies with his friend at 6 pm on 11 September?** _____

6 **If Ann is paid $12.00 per hour, how much (gross) will she earn this week? $**_____

7 **What is the total number of hours worked by all staff on Friday?** _____

8 **What is an RDO?** _____

9 **In your workbook, design an advertisement for the Super Duper Supermarket. Include the days and hours the shop could be open for business.**


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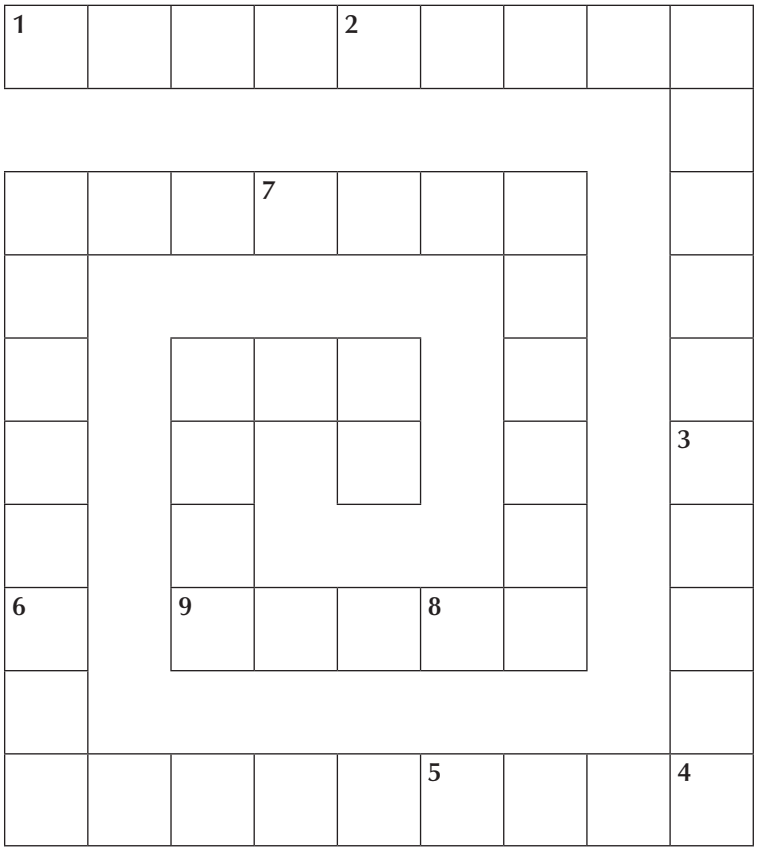
# 4.1 Wages puzzle

**Use the clues below to complete this spiral crossword based on wages. The last letter of each word is the same as the first letter of the next word. Start at question 1.**




1. A set of rules that lists the legal minimum wages and conditions for employees working in a certain industry.
2. Amounts that are subtracted or deducted
3. A time period when people work, shown on a roster
4. A roster shows you the _____ your shift starts.
5. Another word for wages or pay
6. Casual workers do not get annual leave or ____ ___.
7. Wages can be put into your account by _____ funds transfer (EFT).
8. Wages can be paid by cheque or _____.
9. Casual workers do not get paid when they go away on a _____.

Did you know that employers should give every new employee a copy of the Fair Work Information Statement?

See www.fairwork.gov.au

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# 4.2 All about awards

**Read the information about awards then answer the following questions.**

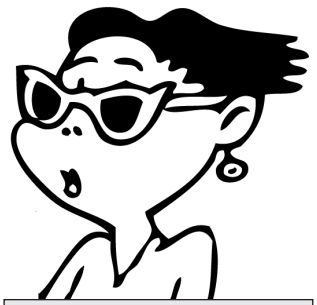
It's a great feeling when you get your first pay – whether its cash, cheque or an amount credited to your bank account. Your employer must also give you a payslip which shows how your wages have been calculated. This is where you need to understand *awards* and how they affect your pay.

An award is a legal document that sets out the minimum pay and conditions for employees working in a particular industry or type of occupation. For example, casual staff working in fast food outlets or take-away businesses could be covered by the Fast Food Industry award, while a casual sales assistant could be covered by the General Retail Industry award.

Your employer should provide details of your employment status (casual, part-time or full-time) and the award you are covered by. The state or territory you live in, your age (until you are 21), the tasks or duties you perform and your job title (occupation) also affect the amount you are paid.

Pay rates for trainees are usually based on the level of schooling completed, the type of traineeship and how long you have been out of school. Apprenticeship pay rates generally depend on the type of apprenticeship and whether you are in the first, second, third or fourth year of your apprenticeship.

As there are so many different conditions of employment and different pay rates, understanding your wages and checking your pay can be confusing. Luckily, there is a great deal of information, advice and assistance available for young people starting work. The government website www.fairwork.gov.au has an online pay calculator you can use to check your pay and tells you how to get help via phone, fax, email or live chat.



Tip: It's much easier to check your pay if you know your employment status, award and job title.

1 **Sally is applying for work as a casual sales assistant in a boutique that sells jewellery, cosmetics and clothes. She wants to use the internet to find information about the award she could be covered by and what the minimum pay will be if she gets the job. Circle the award you think she should look up.**

General Retail Industry  Hospitality Industry  Hair and Beauty Industry

2 **John has just completed Year 12 and Vince has just completed Year 10. They are both starting a full-time retail traineeship at the same department store. Do you think their wages will be the same? Explain why.**

_____

3 **What are two important things your employer should tell you?**

_____

4 **Alice knows the name of the award she is covered by and wants to find out if she should be paid for her meal breaks. How could she get this information?**

_____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# 4.3 Understanding base rates and extras

**Read the information about base rates and extra amounts then answer the following questions.**

*Penalty rates*, *loadings* and *allowances* are all extra amounts that can be added to your base hourly rate. The extra amounts you should receive are set out in the award you are covered by. Base hourly rates are calculated by dividing the minimum weekly wage by the normal number of hours worked per week by a full-time worker. For example, if the minimum weekly wage for a full-time worker is $400.00 per week, divide this by 38 (the number of normal hours worked each week) to find the base hourly rate of $10.52:
$400.00 (weekly wage) ÷ 38 (hours worked) = $10.52 (base hourly rate)

1 **What is the base hourly rate if the weekly wage is $494.00 and the number of hours worked is 38?**

2 **What is the weekly wage if the hourly rate is $20.00 and the number of hours worked is 38?**

*Casual loadings* are extra percentage amounts added to the base rate of casual workers because they don't receive paid annual leave or paid personal leave. The actual percentage depends on the award you are covered by, but is usually 15–30%. Under his award, John's base hourly rate is $11.00. However, John is a casual employee so he is entitled to an extra 15% of this amount per hour.

To work this out on a calculator, press these keys: [1] [1] [.] [0] [0] [×] [1] [5] [%]

The answer is 1.65, which means that $1.65 is added to John's base hourly rate to make $12.65 per hour: $11.00 (base rate) + $1.65 (15% casual loading) = $12.65 (hourly rate)

3 **If Alyson is a casual worker with a base hourly rate of $12.00 and a casual loading of 20%, what is her hourly rate? Circle the correct answer.**

$15.00 $14.40 $13.50

4 **On her 17th birthday Alyson's base hourly rate goes up to $14.00. She also gets a casual loading of $20%. What will her new hourly rate be?**

*Penalty rates* are higher rates of pay for work done outside normal working hours, such as late at night, on weekends and on public holidays. Penalty rates are sometimes called 'getting time and a half' for 150% or 'double time' for 200%. The rate is calculated as a percentage of your base hourly rate and depends on your award. For example, some awards state that you must be paid 200% of your hourly rate for working on a public holiday.

Let's look at John whose casual hourly rate is $12.65. If he works on Australia Day and his award states that he should receive 200% of his usual rate for working on a public holiday, his hourly rate for that day would be:

$12.65 (hourly rate) × 200% (penalty rate)
= $25.30 (public holiday hourly rate)

5 **Ben receives a penalty rate of 150% for working on a Sunday. If his usual hourly rate is $12.00, what is his Sunday hourly rate?**

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# 4.3 Understanding base rates and extras (cont'd)

6 **Using Ben's Sunday hourly rate, calculate how much he will be paid if he works for 8 hours on a Sunday.**

*Allowances* are extra amounts paid to employees for expenses such as cleaning your uniform, using your own car or tools, or for working in certain areas or in dirty or dangerous conditions. For example, when John has to work in a refrigerated coldroom, he receives an extra cold work allowance. He is also required to wear a uniform and receives an extra amount each shift for laundering (cleaning) it.

7 **Justin receives a $1.25 uniform allowance for each shift he works. If he works 10 shifts each week, what is his total uniform allowance?**

8 **Are these statements true or false? Edit each false statement to make it true.**

| Statement | True or false? |
|---|---|
| a Casual workers receive an extra loading because they don't get paid annual leave or personal (sick) leave. | |
| b Loadings are extra amounts you receive on top of your usual hourly rate. | |
| c Amounts deducted from your wages are called loadings. | |
| d Loadings are usually calculated by adding a percentage of the hourly rate. | |
| e A penalty rate is money deducted because you did something wrong. | |
| f Penalty rates are extra amounts paid for working outside normal hours, like Saturdays, Sundays or public holidays. | |
| g You could be paid a penalty rate of 200% of your usual hourly rate for working on Christmas Day. | |
| h An allowance is an amount you allow your employer to subtract from your wages. | |
| i Apprentices using their own tools for work could be paid a tool allowance. | |
| j You could be paid an allowance for working in cold conditions or for doing dirty or dangerous work. | |
| k If you have to clean your own work uniform you could be paid a uniform allowance. | |
| l If you have to use your own car while working you could be paid a car allowance. | |
| m A base hourly rate is calculated by dividing the minimum wage by the number of hours worked in a normal week by a full-time worker. | |


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# 4.4 Superannuation

**Read the information about base rates and extra amounts then answer the following questions. You may need a calculator or working paper.**

Superannuation (super) is an extra amount an employer must pay to help fund their employees' retirement. This means that when people retire from work and are not earning any wages, they can use their superannuation funds to pay for their living expenses. The rules about superannuation change from time to time. Currently, an employer pays 9.25% of their employees' gross weekly wage for all employees:

- aged 18 years or over and earning $450 or more each month
- under 18 years, working more than 30 hours per week and earning $450 or more each month.

This amount must be paid directly into a superannuation fund. You can choose your own superannuation fund or your employer must pay into the MySuper fund. It makes sense to keep the same super fund throughout your working life – that way, you pay less in fees and it is easier to keep track of your superannuation savings.

The percentage rate that employers have to contribute to their employees' superannuation fund can change. In July 2013 the government proposed these rate changes in the future:

- 2012–13: 9%
- 2013–14: 9.25%
- 2014–15: 9.50%
- 2015–16: 10%.

1 **Anthony is 17 years old and works in his casual job for 25 hours each week. His monthly earnings are $440.00. Does his employer have to pay Anthony superannuation? Explain why.**

_____

2 **Elle is 19 years old and earns $460 each week. Her employer must pay an additional 9.25% of Elle's weekly wage into her superannuation fund each week. How much is that?**

3 **What is the total amount Elle's employer will have paid into her superannuation fund after one year (52 weeks)?**

4 **Why does it make sense to have only one superannuation fund throughout your working life?**

_____

5 **What is superannuation used for?**

_____

_____

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# 4.5 Deductions and income tax

**Read the information below about deductions and tax then answer the following questions.**

Deductions are amounts that are taken out (deducted) from your wages. Your employer can deduct income tax from your wages but cannot deduct anything else that is not required by law without your written permission. If you are under 18, the employer must get permission from your parent or guardian. For example, if you work in a restaurant and you break something or a customer doesn't pay their bill, this cannot be taken out of your wages.

Employers use a 'tax table' from the Australian Tax Office (ATO) to work out how much tax to take out of their employees' wages, and pays this money to the ATO. The ATO then has a record of how much tax you have paid and how much money you have earned. This tax is called PAYG, which stands for Pay As You Go. All employers must provide a payment summary at the end of each financial year (1 July to 30 June) which lists your earnings and tax paid for that financial year. You need this summary to fill out your tax return.

If you filled out a tax file number declaration when you started your job and you earn under a certain amount, you may not have to pay any income tax at all. For example, in the 2012–13 financial year, an Australian resident with an income of up to $18,200 each year ($350.00 each week) usually did not have to pay income tax.

1 **Belinda is a waitress in a café. She drops a tray of glasses. Can the employer deduct the cost of the glasses from her wages? Explain why.**

_____

2 **What does an employer use to work out how much tax to take out of your wages?**

_____

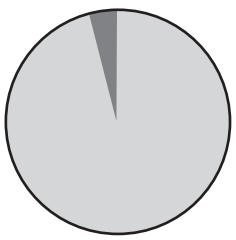
3 **What must an employer provide to their employees at the end of each financial year?**

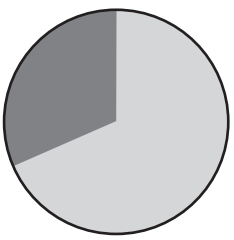
_____

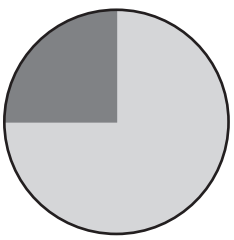
4 **Charlie's gross weekly wage is $426.00. His employer deducts $17.00 income tax each week from this amount. What is Charlie's net weekly wage?**

**$**_____

5 **In the pie charts below the whole pie represents Charlie's gross weekly wage of $426.00. The dark grey area shows income tax deducted, and the light grey area shows Charlie's net wage. Tick the pie chart that correctly represents these amounts.**

a 

b 

c 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# 4.6 Getting paid

When you receive your pay you should also receive a pay slip or pay advice. This shows exactly how your pay was calculated.

**Refer to the list below to see a matching description for each labelled item on Joe's pay slip, below. Then use the pay slip to answer the questions on the next page.**

**PAY ADVICE**

**Employer:** Juice N Sangers Pty Ltd
**ABN:** 19 000 627 7001
**Employee:** Joe Peterson
**Superannuation fund:** Best Super

**A** **Pay period:**
09/06/14–15/06/14

**Hourly rates – casual** **B**
Mon–Sat: $14.00
Sunday/public holidays: $28.00

| Description | Hours worked | Rate | Amount for pay period | YTD (Year to date) |
|---|---|---|---|---|
| **Wages: Monday–Saturday** | 24 | $14.00 | **C** $336.00 | **E** $4,480.00 |
| **Wages: Sunday** | 4 | $28.00 | **D** $112.00 | **E** $560.00 |
| **Laundry allowance** | | | **F** $2.50 | **E** $25.00 |

| | | | | |
|---|---|---|---|---|
| **PAYG tax** | **G** | –$24.00 | **H** | –$240.00 YTD |
| **Superannuation** | **I** | $41.44 | **J** | $414.40 YTD |

**Gross pay: $450.50** **K**
Net amount paid 18/6/14, EFT to your nominated bank account: **$426.50** **L**

**A** Shows the start and end days of the week that you are being paid for

**B** Shows the different amounts you will be paid each hour when you work from Monday–Saturday and on Sunday or a public holiday

**C** Amount you are being paid for the 24 hours worked Monday–Saturday at $14.00 per hour

**D** Amount you are being paid for the 4 hours worked on Sunday at $28.00 per hour

**E** Amount you have earned so far for the financial year

**F** Laundry allowance for this pay period

**G** Tax for this pay period

**H** Tax for the year to date

**I** Superannuation paid for this pay period

**J** Superannuation paid for the year to date

**K** Total wages before tax (Monday–Saturday + Sunday + laundry allowance)

**L** Net wage (gross wage minus tax) is the amount paid into your bank account

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# 4.6 Getting paid (cont'd)

1 **What is Joe's hourly rate for a Sunday or a public holiday?** $_____

2 **How much PAYG tax did Joe pay in this pay period?** $_____

3 **How much laundry allowance has Joe been paid for the year (YTD)?** $_____

4 **How much was paid into Joe's bank account by EFT on 18 June?** $_____

5 **The pay slip below is for Ellie James who works at the Sand 'n' Sun Café. Use this information to fill out the missing sections of her pay slip below.**

Ellie is being paid for the week 16/06/2014 to 22/06/2014 and will be paid on 23/6/2014. She has worked 30 hours from Monday to Saturday. She has not worked on a Sunday or public holiday and does not receive a laundry allowance. Her PAYG tax is $24.00 and her superannuation is 9.25% of her gross weekly wage.

**PAY ADVICE**

**Sand'n'Sun Café**

**ABN:** 19 000 627 7002

**Employee:** _____

**Superannuation fund:** ABC Super

**Payment date:**

_____

**Pay period**:

_____

**Employment status:** Casual

**Hourly rate Mon–Sat:** $15.00

**Hourly rate Sun/public holiday:** $30.00

| Description | No. hours | Rate of pay | Gross pay |
|---|---|---|---|
| Mon–Sat hours | | $15.00 per hour | |

**PAYG tax** amount for pay period: $_____

**Net pay total** to be paid into your bank account: $_____

**Superannuation payment @ 9.25% of gross wage:** $_____


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# 4.7 Keeping records and getting help with your pay

1 **Use the word bank to complete the information below.**

| | | | |
|---|---|---|---|
| • correct | • declaration | • pay slip | • rate |
| • award | • before | • record | • tax |

It is important to keep a _____ of the days and hours you work and the breaks you take so you can check your pay slip to make sure you are being paid the _____ amount. You need to know the name of the _____ you are covered by and your hourly _____ of pay. Every time you are paid you should receive a _____ _____ which shows you exactly how your pay was calculated.

Your gross pay is the amount you earned _____ tax was deducted. Your net wage is the amount you receive after tax has been taken out. To make sure you are taxed at the lowest rate and claim the tax-free threshold, you should always obtain a _____ file number and fill out a tax file number _____. If you have any problems with your pay you can always get help at www.fairwork.gov.au.

2 **Compose an email to a friend who is about to start their first job and wants some tips from you about wages and getting paid.**

TO: _____

SUBJECT: Starting work tomorrow! _____

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# 5.1 Income and expenses wordsearch

**This wordsearch contains seven words about income and expenses.**
**Words go in these directions: ➔ ➔ ➔ ➔.**

**investment**
**costs**
**payments**
**interest**
**salary**
**purchases**
**outgoings**

| i | o | u | t | g | o | i | n | g | s |
|---|---|---|---|---|---|---|---|---|---|
| n | e | d | y | v | q | d | q | i | e |
| v | o | r | j | t | k | l | n | k | s |
| e | r | s | t | s | o | c | s | r | a |
| s | a | j | u | e | n | o | a | o | h |
| t | i | s | g | r | n | y | l | x | c |
| m | b | h | o | e | n | e | a | v | r |
| e | n | p | a | t | d | o | r | v | u |
| n | e | s | t | n | e | m | y | a | p |
| t | a | u | s | i | c | f | p | t | o |


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# 5.2 Income and expenses

Understanding income and expenses is the first step in learning how to manage your money and fill out your tax return.

**Do this quiz to find out how much you already know about income and expenses. Circle a, b or c to correctly complete the statements.**

1 **A word that *does not* mean the same as 'income' is**

a earnings.

b expenditure.

c revenue.

2 **Income is money that**

a you pay to the bank when they lend you money.

b is spent on things such as food, rent or clothing.

c you earn from wages, investments, interest or profits.

3 **High income earners are people who**

a earn a larger than average income.

b earn their income by working on high buildings.

c spend a high amount of their earnings on bank interest.

4 **Rent you receive from a property you own is part of your**

a expenses.

b interest.

c income.

5 **Expenses are**

a things that cost a lot or are expensive.

b also called expenditure or outgoings.

c earnings or wages.

6 **Gross income is**

a income after tax and deductions are taken out.

b total income before tax and deductions are taken out.

c a really low income.

7 **Tax deductible expenses are**

a expensive taxes.

b added to your income by the Australian Tax Office.

c expenses that you can claim as tax deductions.

**Now get your teacher to provide the number of points for each answer. Add your points to find your total score.**

**Score: ____ points**

- If you scored 7–15 points: You definitely need to understand more about income and expenses.
- If you scored 16–21 points: Well done! You are off to a good start as you already know a lot about income and expenses.

---

8 **The words and phrases below all relate to either expenses or income. Sort the words by writing E (expenses) or I (income) beside each one.**

| | | | |
|---|---|---|---|
| Wages ___ | Food ___ | Mobile ___ | Earnings ___ |
| Furniture ___ | Salary ___ | Allowance ___ | Movie tickets ___ |
| Profits ___ | Clothes ___ | | |

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# 5.3 Earning an income

1 **Use the word bank to complete the information about earning an income.**

| | | | |
|---|---|---|---|
| • allowance | • earnings | • income | • manage |
| • benefits | • family | • investments | • newspapers |
| • confident | • gardening | | |

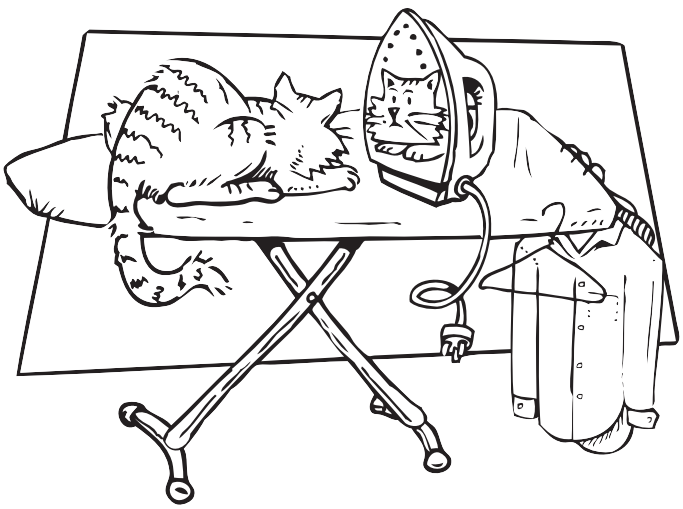
Income is money that you gain, that 'comes in'. Some of the most common forms of income are wages, and profits from a business or from _____ such as property or shares. Centrelink payments are also a form of income.

Another word for income is _____. People with large incomes are called 'high income earners', those with average incomes are 'middle income earners' and those with less than average incomes are 'low income earners'.

There are many ways you can start earning an _____ while you are still at school. Many young people get their first incomes from babysitting, mowing lawns, gardening, washing cars, walking dogs, delivering _____ or selling things they no longer want. You can also get an income by asking friends and _____ to give you money for your birthday or other special occasions rather than buying you gifts.

Pocket money or an _____ is another form of income which you might have to earn by doing certain jobs each week. Some students earn extra income by doing additional work around the home, such as tasks your parents hate doing or don't have time to do. These could include washing windows, ironing, _____ or arranging to sell things that your family no longer needs or wants.

Getting a casual job to earn your own money has many _____. You can learn new skills, meet new people, learn how to _____ your time and money and become more _____ and independent.

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# 5.4 Different types of expenses

An expense is something you spend money on. Expenses are sometimes called *outgoings* because your money is 'going out'. If your income is more than your expenses, you can save money. But if your expenses are more than your income you will owe money.

An expense can be for *goods* or *services*. Goods are solid things you can touch, such as food, books, cars or clothing. A service is something a person or company does for you, usually for payment. Examples of services include hairdressing, medical advice and treatment, accountancy, banking and phone and internet provision.

1 **Read the passage below about the Year 10 formal. The words in bold are either goods or services. Circle the goods and underline the services, including references to people who provide services.**

Oh no! The Year 10 formal is on next Saturday night and there is so much I still need to organise. I have to go shopping for a new **dress** and **shoes**. Oh yes, and I'll need some **jewellery** too. Of course I'll need to get an appointment with my **hairdresser** and, if I can afford it, I'll book the **manicurist** for my nails too. Dean is my date for the night and he said he would book the **transport** for our group but I must remember to book the **photographer**. I hope Dean has remembered to organise his **suit and tie** for the formal. I should also pay for my **mobile phone service** before Saturday night. Alice said she would get some **flowers** for Ali's mother too because we're all going to her place for the after-party. Can't wait, should be so much fun!

## Fixed or variable?

Expenses that don't vary much and have to be paid regularly each week or month are called *fixed expenses*. These include rent, car payments and loan repayments. *Variable expenses* are those that vary or change according to how much you choose to spend. For example, food, clothing and entertainment expenses can vary from week to week.

2 **Label these expenses as fixed (F) or variable (V).**

| Expense | F or V? |
|---|---|
| a Regular monthly car loan repayment | |
| b Entertainment expenses for going to the movies or out to dinner | |
| c Rent payments for flat | |
| d Clothing, shoes and handbags | |
| e Meat, groceries, fruit and vegetables | |

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# 5.4 Different types of expenses (cont'd)

## Tax-deductible or non-tax-deductible?

Expenses that are necessary for you to earn an income or run your business are usually tax-deductible expenses. This means that these expenses are deducted from your gross income so you pay less tax. For example, if you own a business, the wages you pay to your staff and the rent you pay for your shop are tax-deductible expenses. If you are an employee and your job requires you to wear protective clothing, that clothing is a tax-deductible expense. Anything that is not related to earning your income is a personal expense and is not tax-deductible.

**3** **Tom owns a take-away pizza shop and is married with two children. Some of Tom's expenses are listed below. Sort them into tax-deductible and non-tax-deductible by writing them in the correct box.**

**Expenses:**

- **birthday gift for his wife**
- **wages for his staff**
- **rent for his shop**
- **daughter's sports equipment**
- **golf lessons**
- **pizza oven for his shop.**

| Non-tax-deductible expenses | Tax-deductible expenses |
|---|---|
| | |

**4** **Are these statements true or false? Edit each false statement to make it true.**

| Statement | True or false? |
|---|---|
| a Paying your accountant for preparing your income tax return is paying for a service. | |
| b Expenses related to work or business are usually tax-deductible. | |
| c Rent you pay regularly to an estate agent is a fixed expense. | |
| d Income is sometimes called outgoings or expenditure. | |
| e A new handbag is a service and is tax-deductible. | |
| f To save money, your expenses must be less than your income. | |


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# 6.1 Needs and wants puzzle

**Use the clues below to complete the word ladder about needs and wants.**

**Clues**

1. We go to school, TAFE, college or university to get an _____.
2. Something that is expensive, very enjoyable and special but not actually necessary.
3. The opposite of 'save'
4. A plan for how much you will earn and how much you will spend.
5. Food, clothing, transport, education and housing are examples of these.
6. Humans need fresh water, air and food to _____.
7. People who are wise and careful with money are said to be this.
8. When our expenses are the same as our income we cannot do this with our money.
9. Something that is costly or has a high price is said to be this.

| | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | | | | 1 | e | | | | | | | | |
| | | | 2 | | | x | | | | | | | |
| | | | | 3 | | p | | | | | | | |
| | 4 | | | | | e | | | | | | | |
| | | | | | 5 | n | | | | | | | |
| | | | | | 6 | s | | | | | | | |
| | | 7 | | | | i | | | | | | | |
| | | | 8 | | | v | | | | | | | |
| | | | | | 9 | e | | | | | | | |

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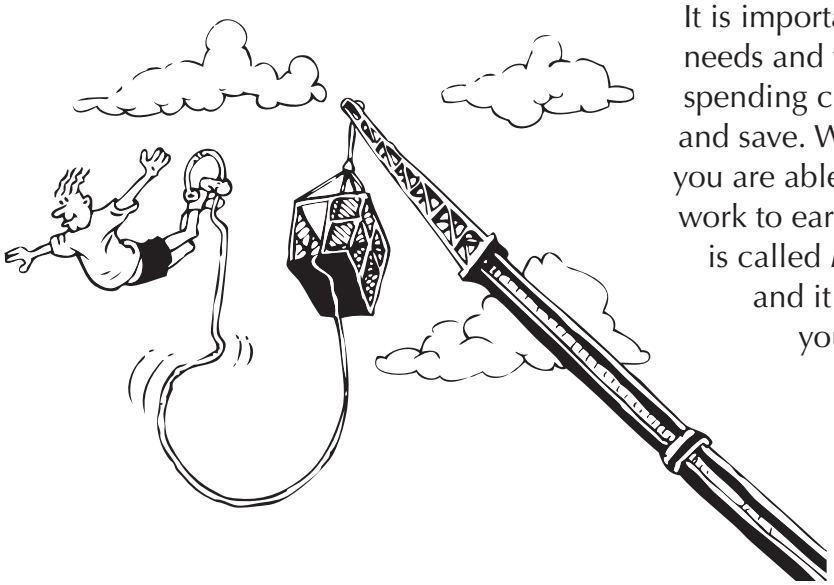
# 6.2 Needs and wants – what's the difference?

**Read the information below about needs and wants and answer the following questions.**

*Basic needs* are the things we require to survive. They include water, food, clothing and shelter. We also have other needs that significantly improve our quality of life, such as transport, education and health care.

Personal circumstances, such as the place you live and your age, can determine whether something is really a need. For example, for someone living in a rural area or a place with no public transport, a car could be a need. It may not be for a person living close to school or work in an area with good public transport.

*Wants* are things we would like to have but these things are not absolutely necessary for survival. We should pay for our needs first and then decide which wants we can afford. Let's face it – life would be pretty boring if we have none of our wants! However, advertising, marketing and peer pressure can persuade us to buy things we don't need and cannot afford. When you are trying to stick to a budget or to save money, always think twice before spending. Ask yourself: *Do I really need this? Can I live without it? What will happen if I don't have it? How much can I save if I don't buy it? Is there a cheaper alternative?*



It is important to understand your own needs and wants so you can make wise spending choices and learn how to budget and save. When you earn your own money you are able to see how much you have to work to earn the money you spend. This is called *learning the value of money* and it is an important lesson. Perhaps you will be less likely to splurge on expensive items you don't really need when you consider how hard you have to work to earn that money.

1 **What is the best way to learn the value of money?**

_____

2 **What is the difference between a need and a want?**

_____

3 **What can persuade people to buy things they don't really need?**

_____

4 **When might a car be a need, rather than a want?**

_____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# 6.3 Wants and debt

**Read Sharon's story and complete the following task. You may need a calculator.**

I have a big credit card debt to pay off so I must reduce my expenses. I know my 'needs' are rent, electricity, gas, petrol, car expenses and food. I'm going to use public transport to save money on petrol, but I think I can also save some money at the supermarket by reducing my 'wants'.

**Find the total of Sharon's last supermarket bill.**

**Mark any items that you think are 'wants'.**

**Then work out how much Sharon could save if she didn't buy these items.**

Superduper Market Pty Ltd
Branch # 32 Anytown
A.B.N. 1543 3221 99002
Ph: 1300 888 667
Tax Invoice # 0000456 15/06/12. 22:15:37. Mark B

| | |
|---|---|
| Lamb loin chops | |
| 0.5 kg @ $15.00 kg | $7.50 |
| Clean-up toothbrush × 1 | $6.50 |
| Apples 6 @ 30 cents each | $1.80 |
| Yummo pizza slices 3 pack | $24.00 |
| Sofresh caramel bars 5 pack | $5.00 |
| Good Style magazine × 1 | $7.20 |
| Toilet paper 3 pack | $5.20 |
| Farmfresh eggs 12 pack | $3.80 |
| Sliced wholemeal bread × 1 | $2.80 |
| Breakfast cereal 750 grams × 1 | $5.40 |
| Whole chicken size 14 | $10.45 |
| Chockchip cookies 250 g pack | $4.30 |
| Mixed vegetables frozen | |
| 1 × 300 g | $3.20 |
| Fizzo soft drink 2 × 500 mL | |
| @$3.20 per 500 mL bottle | $6.40 |
| Vanilla-scented room spray | $5.10 |

**Balance due:** _____

**Sharon can save $_____**

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# 6.4 Which wants don't you need?

1 **In the table below, list 10 'wants' you have recently purchased. Include anything you have bought – big or small; for example, soft drinks, coffee, lunch, movies, music or movie downloads, transport or more expensive things such as clothing, shoes, cosmetics, hairdressing or mobile phone bills. For each purchase, answer yes or no to the questions listed.**

| Description of purchase | Cost | Could you have done without it? | Was there a cheaper option? | Was it worth the money? |
|---|---|---|---|---|
| | | | | |
| | | | | |
| | | | | |
| | | | | |
| | | | | |
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| | | | | |
| | | | | |
| | | | | |
| | | | | |

2 **If you were short of cash or trying to save money, which of these things (if any) would you still have bought?**

_____

3 **Highlight the purchases for which you answered 'No' in the last column. How much would you have saved if you had not bought these items? $_____**


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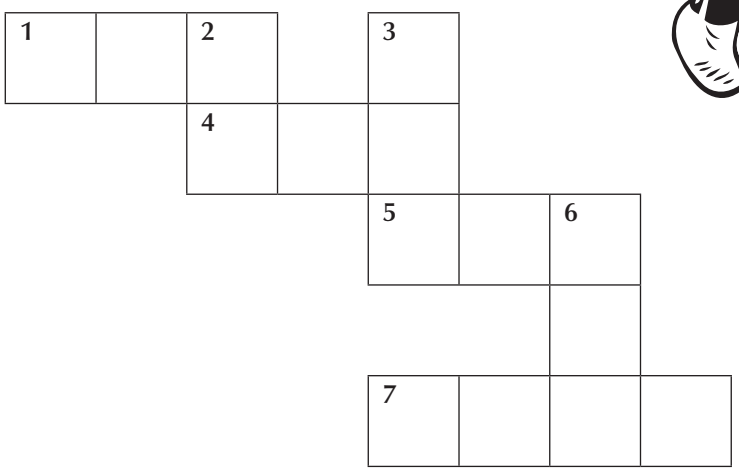
# 7.1 Budgets number puzzle

**Calculate the answers to these maths questions about budgets to complete the 'crossnumber' below. It works just like a crossword puzzle, but with numbers instead of letters. You may need a calculator or working paper.**

## Clues

1. Total car payments for one year, with monthly payments of $82.00
2. Total saving if you get a 10% discount off a computer priced at $480
3. If your monthly income is $1600 and your expenses are $1495, how much do you have left over each month?
4. The cost of three months board if you pay $280 each month
5. The total of these monthly entertainment expenses: June $221, July $128, August $243
6. If buying lunch for one week costs $41.00 and making lunch for one week costs $18.00, what could you save over 10 weeks by making your lunch?
7. If your weekly budget for car expenses is $50, what is your yearly budget for car expenses?

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# 7.2 Financial goals – save now, spend later

When you plan to save for something over a certain time, you are setting a *financial goal*. Achieving that goal can feel great because you get to buy that special thing you wanted. You have also shown that you can be smart with money – a very important life skill! Financial goals can be short term, medium term or long term and involve small or large amounts of money.

**Answer the following questions about financial goals. You may need a calculator or working paper.**

1 **Angelo's goal: Save $80 over 4 weeks to buy a computer game for his brother's birthday.**
**On 1 September 2014, Angelo sets a short-term goal to save $20 every week for 4 weeks so he can buy the Midas IV game on 29 September 2014 when it is released.**

a Angelo gets $40 pocket money each week. He spends $5 at the canteen every school day for lunch and pays $10 a week for his mobile phone. What amount does he have left over each week?

b If Angelo takes his own lunch to school for three days of the week, how much will he save each week?

c Add your answers to part a and part b.

d If Angelo saves this amount (part c) each week, can he save $80 over 4 weeks?

2 **Liam' s goal: Save $1248 for an overseas trip.**
**On 30 June 2014, Liam sets a medium-term financial goal to save for an overseas holiday. He needs to pay for the trip on 2 July 2015.**

a If Liam saves from 1 July 2014 to 1 July 2015, how many months does he have to save for the trip?

b How much does he need to save each month?
(Divide $1248 by the number of months he has to save.)

c If he saves $120 each month, will he have more or less than he needs?

3 **Sandi's goal: To save $5000 for a deposit on a car by the time she is 21.**
**Sandi is 17 and has just passed her driving test. Her long-term goal is to have her own car in 4 years' time. She has just started her final year of school and is working part-time. She plans to save $500 over the next 10 months and another $4,500 in the 3 years after that when she will be working full-time.**

a To save $500 in 10 months, how much must Sandi save each month?

b To save $4,500 over 3 years, how much must she save each month?

c If Sandi sticks to her plan, how many months will it take to achieve her goal?


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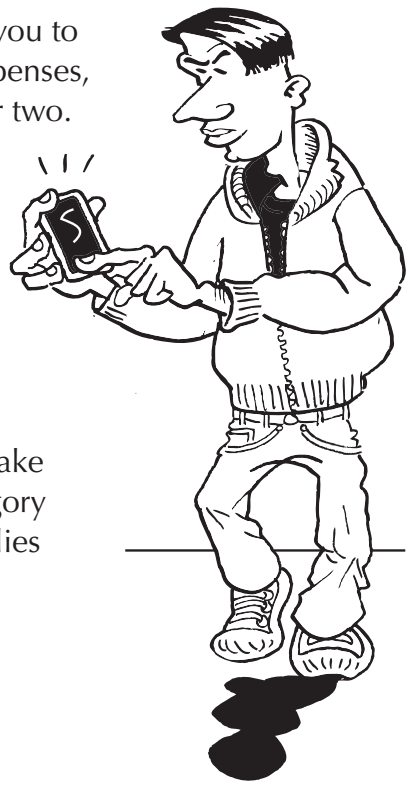
# 7.3 Steps to tracking expenses

**Read the information below about tracking expenses and answer the following question.**

Have you ever checked your wallet or your bank balance and found you had way less money than you thought you did? Did you wonder where it all went because you can't remember spending that much? Even worse, have you found that you didn't have enough money to go out, pay a bill or couldn't afford to buy something you really wanted?

To achieve financial goals, you need to make a written plan that shows how much money is coming in and how you plan to spend this money. This is called *budgeting*. When your income is more than your expenses, you can save money.



The first step to budgeting is *tracking expenses*. This allows you to see what you usually spend your money on. To track your expenses, keep a record of everything you pay for or buy for a month or two. Then sort your spending into different categories or groups, such as food, transport, entertainment and clothing.

You can track expenses by using an application on your mobile phone, writing in a notebook, keeping receipts or using a spreadsheet on your computer. Tracking expenses is easier if you use only one or two methods of payment, such as cash and debit card only, and avoid credit cards.

Once you can see where all your money is going, you can make budgeting decisions about how much to spend on each category and how much you can save. Governments, businesses, families and individuals all track expenses so they can take control of their money, build budgets and achieve financial goals.

1 **Are these statements about budgeting true or false? Edit each false statement to make it true.**

| Statement | True or false? |
|---|---|
| a A budget is a written plan that shows money coming in and how you plan to spend that money. | |
| b You should track your expenses for a day or two before developing a budget. | |
| c To save money, your expenses should be more than your income. | |
| d Notebooks, mobile phones and spreadsheets can all be used to track expenses. | |
| e When you track your expenses, you can see exactly how much you spend in a week or a month on a category such as 'entertainment'. | |
| f It is better to use more than two different methods of payment to help you track your spending. | |

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# 7.3 Steps to tracking expenses (cont'd)

**Use Mia's notes and receipts to answer the following questions.**

**Step 1:** Buy goods or services

**Step 2:** Record details or keep receipts

26/10/14 Lunch, Canteen $4.00
27/10/14 Drink, Canteen $3.50

**Step 3:** Sort your expenses using details from your notebook or receipts.

**Surf'n'Sand Café**
ABN 546 464646
Cashier 003
Receipt 14344
23 Oct 14. 09:15

| | |
|---|---|
| 1 x iced coffee | $3.50 |
| Rec. cash | 3.50 |
| Change | 0.00 |
| Inc GST | 0.31 |

| Expenses: 24–30 October 14 | |
|---|---|
| **Category** | **Amount spent** |
| Entertainment | 10.00 |
| Food and drink | 11.00 |
| Transport | 5.00 |
| **Total** | **26.00** |

**MYBUS Ticket**
Valid 24 Oct 14
Routes 56, 57
Ticket # B6564645
**$5.00**

YOUR RECEIPT
Movie World
Cinema 3
Session #5, 8 pm
Batman
29/10/14
**1 x Adult $10.00**

2 **Where did Mia spend $10.00 on 'Entertainment'?**

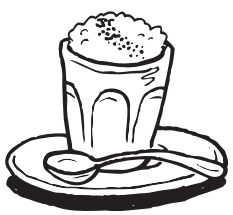
_____

3 **Where did Mia get the information for 'Transport $5.00' from?**

_____

4 **List the three amounts that make up the 'Food and drink' expenses.**

| | | |
|---|---|---|
| | | |



5 **Did Mia use cash or a card to pay for her iced coffee at Surf'n'Sand Cafe?**

_____

6 **In which category did Mia spend the least amount of money?** _____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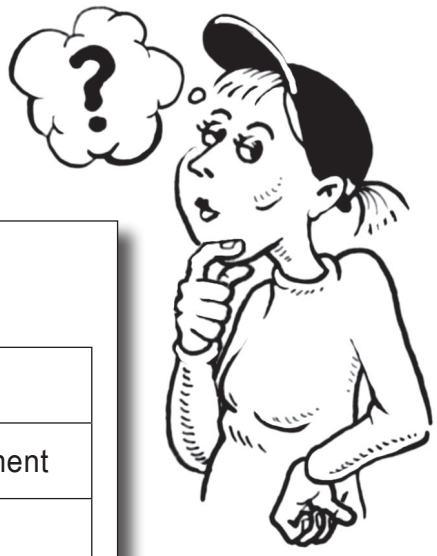
# 7.4 Amber's expenses – a case study

Amber lives away from home and shares the cost of rent and electricity with her flat mates. She needs to budget, so starts by tracking her weekly expenses in a notebook.



Amber's weekly expenses
13 July to 19 July

| Date | Expense | Cost | Category |
|---|---|---|---|
| 13/7/14 | Movie ticket | 12.50 | Entertainment |
| 13/7/14 | Chips & drink | 12.00 | Food |
| 14/7/14 | T-shirt | 22.00 | Clothing |
| 14/7/12 | Coffee | 3.50 | Food |
| 14/7/14 | Pizza | 18.00 | Food |
| 15/7/14 | Mobile | 50.00 | Mobile |
| 16/7/14 | Rent | 95.00 | Rent |
| 17/7/14 | Petrol | 45.00 | Car expenses |
| 17/7/14 | Soft drink | 1.80 | Food |
| 18/7/14 | Car insurance | 83.00 | Car expenses |
| 19/7/14 | UNICEF | 10.00 | Donations |
| 19/7/14 | Chemist | 25.00 | Personal |
| 19/7/14 | Electricity | 23.00 | Electricity |
| 19/7/14 | Supermarket | 65.00 | Food |
| 19/7/14 | Birthday gift | 25.00 | Gifts |
| 19/7/14 | Hairdresser | 65.00 | Personal |
| | **TOTAL** | **555.80** | |

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# 7.4 Amber's expenses – a case study (cont'd)

1 **Use Amber's weekly expenses on the previous page to calculate how much she spent in each category. For example, add all the amounts in the food category to get the total amount spent on food for the week.**

**Write the total for each category in the table. Then add all the amounts to find the total expenses. Your total should be the same as Amber's: $555.80. You may need to use a calculator or working paper.**

| Amber's summary of expenses<br>Week 1: 13 July to 19 July | |
|---|---|
| **Category** | **Amount** |
| Food | |
| Entertainment | |
| Gifts | |
| Personal | |
| Donations | |
| Car expenses | |
| Rent | |
| Electricity | |
| Mobile | |
| Clothing | |
| **TOTAL EXPENSES** | |

2 **In which category does Amber spend the least amount of money?**

_____

3 **Which category of spending is closest to 10% of the total, $555.80?**

_____

4 **List Amber's three most expensive categories in order from highest to lowest.**

_____

_____

_____

5 **Think about the things you spend money on. List the categories you would use to track your expenses.**

_____

_____

_____

6 **Which category do you think you would spend the most money on each week?**

_____

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# 7.4 Amber's expenses – a case study (cont'd)

Amber has now tracked her expenses for four weeks, so she has a good idea of where her money goes and what she generally spends her money on. It's time for Amber to decide how to reduce her spending.

| Category | Week 1 | Week 2 | Week 3 | Week 4 | TOTAL |
|---|---|---|---|---|---|
| Entertainment | 12.50 | 70.00 | 55.00 | 65.50 | 203.00 |
| Food | 100.30 | 85.00 | 78.00 | 110.00 | 373.30 |
| Gifts | 25.00 | | 45.00 | | 70.00 |
| Personal | 90.00 | 22.00 | 15.00 | 45.00 | 172.00 |
| Donations | 10.00 | | | 5.00 | 15.00 |
| Car expenses | 128.00 | 50.00 | 40.00 | 160.00 | 378.00 |
| Rent | 95.00 | 95.00 | 95.00 | 95.00 | 380.00 |
| Electricity | 23.00 | | | | 23.00 |
| Mobile | 50.00 | | | | 50.00 |
| Clothing | 22.00 | 110.00 | 105.50 | 150.00 | 387.50 |
| **TOTAL** | **555.80** | **432.00** | **433.50** | **630.50** | **2051.80** |

7 **What did Amber spend the most money on in this four weeks?** _____

8 **In which week did Amber spend the most money?** _____

9 **Did Amber spend more on car expenses or more on food?** _____

10 **Which one of Amber's expenses is a fixed or regular payment (the same amount each week)?**

_____

11 **Name two categories of Amber's expenses that could be 'wants'.**

_____ _____

12 **What are some ways that Amber and her flatmates could reduce the amount of their electricity bill?**

_____

_____

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# 7.4 Amber's expenses – a case study (cont'd)

To prepare a budget, you need to look at your income and your expenses. This is called your *cash flow* – how much cash is coming in and how much is going out.

- **Expenses:** By tracking her expenses for four weeks, Amber now has information about how much money is going out and what she is spending her money on.
- **Income:** Amber has only one source of income – her wages from her full-time job. Her pay slip gives Amber the information she needs about how much money is coming in.
- **Cash flow:** Amber looks at her cash flow for four weeks and deducts her expenses from her income to find the balance.

| | |
|---|---|
| Total income from wages ($500.45 each week × 4 weeks) | $2001.80 |
| Total expenses for 4 weeks | $2051.80 |
| Balance | –$50.00 |

13 **Is Amber spending more than she is earning?** _____

14 **By how much does Amber need to reduce her expenses to make them balance her total income? $**_____

15 **If Amber's expenses were the same as her income, could she save money?** _____

Amber sees that she has been over-spending by $50 each month and realises why her bank balance has been going down and not up! She also wants to save $100 each month so she can take a holiday next year.

Amber does this simple calculation to find the amount she must cut from her expenses:

$50 plus $100 = $150 each month

Amber needs to reduce her spending by $150 each month.

16 **List three categories in which Amber could reduce her spending. Then decide on the amount to reduce spending by in each category. The amounts must total $150.**

| Category | Amount |
|---|---|
| | |
| | |
| | |
| **TOTAL** | **150.00** |


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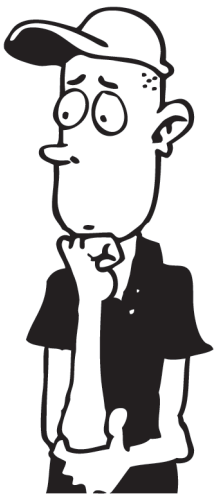
# 8.1 Budgets

A *budget* is simply a written plan for how you intend to spend your money over a certain time. Preparing a budget allows you to balance your income and expenses by setting a limit on your spending in different categories. A good budget also allows for savings. This money is put aside for special purchases and emergency situations, such as being sick and unable to work or having large unexpected bills.

**Look at Karl's budget plan below. He is in Year 10, receives an allowance and has a casual job washing cars. Note Karl's expenses and the limits he has set for his spending in each category. He also has a savings category.**

Karl's weekly budget

| Description | Income | Description | Expenses |
|---|---|---|---|
| Allowance | 50.00 | | |
| Wages | 85.00 | | |
| | | Savings | 35.00 |
| | | Entertainment | 20.00 |
| | | Mobile | 10.00 |
| | | Transport | 15.00 |
| | | Food & drink | 35.00 |
| | | Gifts/donations | 10.00 |
| | | Clothes | 10.00 |
| **Total** | **135.00** | **Total** | **135.00** |



1 **How much is Karl's weekly income? $_____**

2 **Does Karl's budget balance? That is, is his income the same as his expenses? _____**

3 **How much does Karl budget for savings? _____**

## The envelope system of budgeting

A great way to find out how budgeting works is by learning about the envelope system of budgeting. This system is useful for people who use cash and don't have many costly expenses. It is flexible, easy to use and helps with understanding the basics of budgeting. Karl's weekly budget envelopes are shown on the next page.

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# 8.1 Budgets (cont'd)

## How does it work?

Karl gets paid in cash, so each week he puts the planned amounts of money into separate labelled envelopes. When he needs to spend money at the school canteen, he takes it out of the food and drink envelope. He is careful to spread his spending over the week as he knows that when that money in the envelope is spent, he will have to wait until his next pay to fill it up again. He also uses the envelopes for keeping receipts and records his purchases on the front of each envelope.

At the end of the week, Karl transfers any money left over to the following week. For example, if he doesn't spend money on clothes in week 1, he has an extra $10 to spend on clothes in week 2. He can also transfer unspent money into different categories if necessary. So, if he doesn't spend any money on transport, the next week he can use that money for extra entertainment.

Another great thing about this budget system is that it allows for savings. Karl puts $35 into his savings envelope each week. Then he deposits this money into his bank account so it earns interest. This will help him to achieve his financial goal to save $3000 by the time he leaves school in 2015.

| Food & drink | | Spent | Balance |
|---|---|---|---|
| | | | $35.00 |
| 1/12/14 | Coffee | $3.00 | $32.00 |
| 5/12/14 | Lunch | $4.00 | $28.00 |

4 **Imagine that you have just read the information about envelope budgeting on a website and you are asked to complete a survey. Answer the survey questions about this system of budgeting.**

**What do you think are the advantages of the envelope system of budgeting?**

_____

_____

**What do you think are the disadvantages?**

_____

_____

**Would you use this system of budgeting? Give reasons for your answer.**

_____

_____


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# 8.2 Budgets, banks and spreadsheets

Technology makes it a lot easier to plan a budget and keep it on track. Ali pays for all his expenses with a debit card and has his wages from Riordan's Café paid directly into his bank account. Ali's online bank statement for his debit card account is shown below and his monthly budget for November is on the next page

Smart Way Debit Card Account:
Ali Smythe
Branch No. 1234 Nowhereville
Account Number: 54646

| Date | Transaction | – Debit (Amounts going out (expenses)) | + Credit (Amounts coming in (income)) | = Balance (Amount of money in account) |
|---|---|---|---|---|
| **OPENING BALANCE** | | | | **2,300.00 CR** |
| 1 Nov | Superdupermarket N/Ville | 95.00 | | 2,205.00 CR |
| 2 Nov | Capitol Theatre | 65.00 | | 2,140.00 CR |
| 3 Nov | Gifts R Us | 45.00 | | 2,095.00 CR |
| 3 Nov | Riordan's Café P/L | | 827.50 | 2,922.50 CR |
| 6 Nov | Fillup Petrol Station | 48.00 | | 2,874.50 CR |
| 8 Nov | Coffee Fix Bar | 5.00 | | 2,869.50 CR |
| 9 Nov | Sportstuff Clothing | 60.00 | | 2,809.50 CR |
| 10 Nov | Superdupermarket, N/ville | 85.00 | | 2,724.50 CR |
| 11 Nov | Bestpics Cinema N/town | 15.00 | | 2,709.50 CR |
| 18 Nov | Riordan's Café P/L | | 827.50 | 3,537.00 CR |
| 22 Nov | Sand n Surf Café | 12.00 | | 3,525.00 CR |
| 29 Nov | Koolio Clothing P/L | 50.00 | | 3,475.00 CR |
| 29 Nov | Mobileworld | 50.00 | | 3,425.00 CR |
| 29 Nov | B Jones Real Estate Rent | 950.00 | | 2,475.00 CR |
| 29 Nov | Tfr to Savings Acc #45464 | 180.00 | | 2,295.00 CR |
| **30 Nov** | **CLOSING BALANCE** | | | **2,295.00 CR** |
| | **Total Debits $1660.00** | | **Total Credits $1655.00** | |

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# 8.2 Budgets, banks and spreadsheets (cont'd )

Ali uses an Excel spreadsheet to calculate his monthly budget figures. He does this for the month of November to make sure his budget is on track.

- Column B shows the amounts he plans or estimates for income, expenses and savings in November.
- Column C shows the actual amounts for income, expenses and savings. Ali gets this information from his bank statement.
- Column D is the difference between planned and actual amounts. A minus amount means that he spent more than his budget and a plus amount means he spent less. Zero means that the amounts were the same.

Ali Smythe - Monthly budget for November

| A | B | C | D |
|---|---|---|---|
| **Category** | **Monthly budget** | **Actual amount** | **Difference** |
| ***Income*** | | | |
| Wages | 1655 | 1655 | 0 |
| **TOTAL INCOME** | 1655 | 1655 | 0 |
| ***Expenses*** | | | |
| Clothing | 100 | 110 | –10 |
| Entertainment | 75 | 80 | –5 |
| Mobile | 50 | 50 | 0 |
| Car expenses | 50 | 48 | +2 |
| Gifts/donations | 50 | 45 | +5 |
| Food and drink | 200 | 197 | +3 |
| Rent | 950 | 950 | 0 |
| **TOTAL EXPENSES** | 1475 | 1480 | –5 |
| ***Savings*** | | | |
| Account #45464 | 180 | 180 | 0 |
| **TOTAL SAVINGS** | 180 | 180 | 0 |

**Use the budget above and the statement on the previous page to answer the following questions.**

1 **What is Ali's monthly budget amount for food and drink?**

_____

2 **What does he actually spend on food and drink?** _____

3 **What is his actual monthly income?** _____

4 **List the two expense categories where his monthly budget amounts are the same as the actual amounts he spent.**

_____

5 **Does the amount of Ali's total debits on his bank statement (see previous page) equal his total actual expenses plus his total savings?** _____

6 **What are the names of the two stores where Ali bought clothing?**

_____

7 **How much did Ali transfer to his savings account on 29 November?** _____

8 **Ali spent $5.00 more than he budgeted for total expenses in November. What will happen to his bank balance if he continues to spend more than his budget?**

_____


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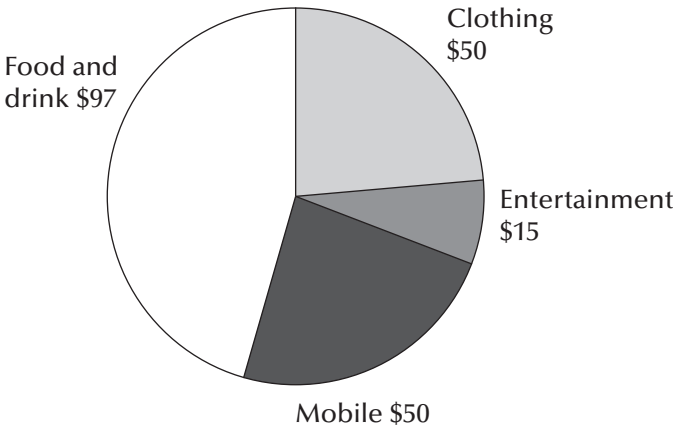
# 8.3 Budget tracking tools

Some banks offer budget tracking tools which you can set up so that your transactions are automatically organised into categories and added to give you a total for each type of expense or income. The pie chart shows how this tracking tool has sorted David's November expense transactions.

David Anderson

**Debitsaver a/c no. 657464547**

**Spending profile for the period 1–30 November 2014**



1 **Calculate David's total expenditure for this month.** _____

2 **How much did David spend on clothing?** _____

3 **In which category did he spend the most money?** _____

4 **Look at David's spending on food and drink as a proportion of his total spending in the pie chart. Were his food and drink expenses more or less than 50% of his total spending?**

_____

5 **David budgeted on expenses of $250 for the month. Was his actual spending more or less than this amount? By how much?**

_____

6 **Calculate David's total savings in November by deducting his expenses from his income of $315.** _____

7 **Does David have a debit card or a credit card account?** _____

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# 8.4 Budgeting and expense-tracking apps

If you like technology, there are lots of budgeting and expense-tracking apps for use on mobile phones, tablets and computers.

**Use the information in the advertisements for the apps to answer the questions.**

### UTRACK MONEY APP

- ★ For touchscreen phones and tablets
- ★ Just $2.99
- ★ Start your budget today
- ★ Automatically calculates spending categories
- ★ Colourful graphs & tables
- ★ Syncs with compatible devices
- ★ Notifies you of upcoming bills
- ★ Multiple account function – use for both cash and credit or debit cards

### EEZY BIZ BUDGET APP

- ★ Free budgeting app for business
- ★ Works with multiple currencies
- ★ Creates complex budgets
- ★ Schedules repeat transactions
- ★ Tracks both income and expenses
- ★ 50 different expense categories

### BEST BUDDY BUDGET APP

- ★ Take control of your spending now!
- ★ Only $1.99
- ★ Unlimited expense categories
- ★ Links to bank accounts
- ★ Pay your bills online
- ★ Password protected
- ★ Multiple-user feature
- ★ Instant access to monthly and annual records

### SMART TEEN MONEY APP

- ★ FREE, simple and easy to use
- ★ Track expenses & build your budget
- ★ Designed for students and teenagers
- ★ Enter expenses on-the-go
- ★ See what you've spent and what's left
- ★ Can be used on PC or mobile device
- ★ Works offline without mobile data

1 **Which app can be used with more than one currency?** _____

2 **Which apps are free?** _____

3 **Which app can be used on either a personal computer or a mobile phone?**

_____

4 **Which app is suitable for multiple users?** _____

5 **Which app can notify you when a bill is coming up for payment?** _____

6 **Which app would you choose? Why?** _____

_____


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# Selected answers

## Topic 1: An introduction to work

### 1.1 Work crossword

***Across:*** 1 earn, 2 pay, 5 occupation, 6 skills

***Down:*** 1 employer, 3 business, 4 hire

Answers for synonyms will vary. Sample answers:

***Across:*** 1 make/receive/get, 2 wages, 5 job/career, 6 abilities/expertise

***Down:*** 1 boss, 3 company/organisation, 4 employ

### 1.2 Work values

*1* Students should be able to identify the main values expressed by each person. There may be variation in how they interpret the comments. Sample answers:
Achievement – Spiro, John
Community – May, Justine
Recognition – Kimberley, John
Support – Ahmed, Tino
Relationships – May, Ahmed, Ann
Money – Spiro, Kimberley, Ann
Independence – John, Justine

*2* Student's answers will vary according to their individual work values.

### 1.3 Students and work

*1* Answers will vary but students should show an understanding that the laws protect students from: their casual work interfering with schoolwork; working too many/too few hours; starting and finishing too early/late; age-inappropriate jobs; being exploited or placed in dangerous or illegal work situations.

*2* [in order] important, school, income, casual, value, time, friends, experience, reference, dislike, career

*3* Reasons could include parent's wishes, location, time, unavailability of employment, study or extra-curricular commitments

*5* Students should understand that skills, commitment and experience from previous employment is an advantage.

*6* Sample answers – Choice 1 Advantages: having your own money, helping family, gaining experience, learning skills, meeting new people, connecting with community, making new friends, time management skills, money management skills, help with career choice, gain employer recommendations/references, helps with future job opportunities

Choice 1 Disadvantages: not enough time to study, interferes with social life, interferes with sport and/or social life, added stress, possible workplace discrimination or bullying, could be too tired for school, study and other activities.

Choice 2 Advantages: more time for extra-curricular activities, socialising, sport, less stress, more time for schoolwork, better school results, no chance of workplace bullying or discrimination, don't have to learn new skills.

Choice 2 Disadvantages: no wages, no paid work experience, not learning new skills, fewer future work opportunities, less interaction with the community, no employer references, less chance of making friends outside school.

## Topic 2: Different types of work

### 2.1 Types of work wordsearch

| | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| p | a | r | t | t | i | m | e | o | c |
| h | e | d | y | v | q | d | q | i | o |
| e | o | r | j | e | k | l | n | k | n |
| t | r | k | m | j | n | i | b | r | t |
| p | p | j | u | a | n | o | o | o | r |
| n | i | s | g | c | n | y | m | w | a |
| r | b | h | o | a | n | e | t | v | c |
| u | n | p | a | i | d | o | n | v | t |
| h | e | r | z | x | a | s | m | t | v |
| l | a | u | s | a | c | f | p | t | o |

### 2.2 Different types of work quiz

Scores for students' answers:

*1* a 2 points b 1 point c 3 points
*2* a 1 point b 3 points c 2 points
*3* a 1 point b 2 points c 3 points
*4* a 2 points b 3 points c 1 point
*5* a 1 point b 3 points c 2 points
*6* a 1 point b 2 points c 3 points
*7* a 3 points b 2 points c 1 point
*8* Words spelled incorrectly: entitlements, minimum, loading, permanent

Students should use a dictionary or thesaurus to find the meanings of any words they have circled.

*9* Answers will vary. You could have students discuss or research topics raised in class.

### 2.3 Full-time permanent work

*1* a gross wage b net wage c superannuation
d sick/personal/carers leave e annual leave
f penalty rates g overtime h per annum
i leave loading

*2* Answers are all yes.

*3* 2 weeks' wages = $900
Leave loading = $157.50
Total holiday pay = $1,057.50

*4* $41.63

*5* 76

### 2.4 Permanent part-time work

*1* $440

*2* $1760

*3* $308

*4* $28,250

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5 $543.26

### 2.5 Casual work

1 No
2 Probably (should check award or agreement)
3 $25.30
4 Yes
5 Yes
6 Yes
7 Sample answers – retail, fast food, restaurants, cinemas: more staff needed at weekends, public holidays, Easter, school holidays, Christmas. Retail would need extra staff for sale times.

### 2.6 Unpaid and voluntary work

1 essential, home maintenance, charities, environment, time, difference, benefits, skills, motivated
2 All answers are true.

### 2.7 Other types of work and wages

1 Dave is only needed for the ski season, June to October.
2 Part-time temporary
3 Hire a forklift driver from a labour hire staffing agency for two weeks. This will save the time involved in advertising and recruiting. Employer can then complete orders for customer.
4 $1216

### 2.8 Apprenticeships and traineeships

1 Apprenticeships: plumbing, hairdressing.
Traineeships: business, retail, information technology
2 a False b False c False d True e False

## Topic 3: Work forms and documents

### 3.1 Work forms word chop

a penalty b taxpayer c payee d declaration
e application f exemption g threshold
h superannuation i remuneration

### 3.2 Tax forms

1 $391
2 $308
3 $83

### 3.3 Employee information forms

1 a For employee, tax and superannuation records and to contact employee by phone, letter or email
b For age-related pay rates
c In case of accident or emergency
d To confirm legal right to work in Australia
e To pay wages directly into a bank account
f To pay superannuation into the preferred account
g As proof of identity
2 a incorrect b incorrect c incorrect
d correct e correct f correct g correct
h incorrect

### 3.4 Employment agreements

1 Pay: award name, hourly rate, loading, penalties, superannuation, when and how paid.
Hours: minimum hours, start/finish times
Job: position title, duties, responsibilities, supervision
Training: type of training, paid/unpaid, who will train them, times/days for training, on or off the job
Uniform: is the uniform provided or do I buy my own? Do I get a laundry allowance?
Breaks: When do I get my breaks? Are breaks paid or unpaid? How long do I work before I get a break?
Other: could include company rules, confidentiality, Occupational Health and Safety issues, harassment/bullying procedures, superannuation entitlements
2 a important b parent c separately
d labelled e copies f rosters g workplace

### 3.5 Rosters – 24 hour clock

1 a 4 pm b 3 am c 11 pm d 8 am
2 Monday to Friday: 7.30 am to 10.30 pm
Saturday: 7 am to – 11 pm
Sunday 7.30 am to 2 pm
3 6
4 Yes
5 Laina, Louie or Glen
6 Tom, his shifts are after school and on the weekend.
7 No
8 19:00 to 23:00
9 Glen
10 His Saturday shift is the only one which is more than 4 hours
11 Yes
12 31 hours 30 mins

### 3.6 Rosters – 12 hour clock

1 Yes
2 Ali J
3 20 hours
4 2
5 No
6 $276 (23 hours × $12)
7 29 hours
8 Rostered Day Off (as written at top of roster)

## Topic 4: Wages

### 4.1 Wages puzzle

1. award 2. deductions 3. shift 4. time
5. earnings 6. sick leave 7. electronic
8. cash 9. holiday


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### 4.2 All about awards

1. General Retail Industry
2. No, as John has a higher level of education
3. Employment status and award you are covered by
4. By going to www.fairwork.gov.au

### 4.3 Understanding base rates and extras

1. $13
2. $760
3. $14.40
4. $16.80
5. $18.00
6. $144.00
7. $12.50
8. a True b True c False d True e False
   f True g True h False i True j True
   k True l True m True

### 4.4 Superannuation

1. No, because he works fewer than 30 hours per week and earns less than $450 each month
2. $42.55
3. $2,212.60
4. You save money in fees and it is easier to keep track of your superannuation
5. It provides money to live on when you retire and are no longer earning an income

### 4.5 Deductions and income tax

1. No, because it is not required by law and Belinda would have to give her written permission
2. A tax table from the Australian Tax Office
3. A payment summary
4. $409.00
5. a

### 4.6 Getting paid

1. $28.00
2. $24.00
3. $25.00
4. $426.50
5. Employee name: Ellie James
   Payment date: 23/06/14
   Pay period: 16/06/14 to 22/06/14
   No. hours: 30
   Gross pay: $450
   PAYG tax: $24
   Net pay total: $426
   Superannuation: $41.63

### 4.7 Keeping records and getting help with your pay

1. record, correct, award, rate, pay slip, before, tax, declaration
2. Students should provide advice and tips about keeping records, knowing their award, employment status, rate of pay and advise the friend to get a tax file number and fill out a tax file declaration. They may also provide the Fair Work website address.

## Topic 5: Income and expenses

### 5.1 Income and expenses wordsearch

| | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| i | o | u | t | g | o | i | n | g | s |
| n | e | d | y | v | q | d | q | i | e |
| v | o | r | j | t | k | l | n | k | s |
| e | r | s | t | s | o | c | s | r | a |
| s | a | j | u | e | n | o | a | o | h |
| t | i | s | g | r | n | y | l | x | c |
| m | b | h | o | e | n | e | a | v | r |
| e | n | p | a | t | d | o | r | v | u |
| n | e | s | t | n | e | m | y | a | p |
| t | a | u | s | i | c | f | p | t | o |

### 5.2 Income and expenses

Scores for students' answers:

1. a 1 point b 3 points c 2 points
2. a 1 point b 1 point c 3 points
3. a 3 points b 1 point c 1 point
4. a 1 point b 1 point c 3 points
5. a 1 point b 3 points c 1 point
6. a 1 point b 3 points c 1 point
7. a 1 point b 1 point c 3 points
8. Expenses: Furniture, Food, Clothes, Mobile, Movie tickets
   Income: Wages, Profits, Salary, Allowance, Earnings

### 5.3 Earning an income

1. investments, earnings, income, newspapers, family, allowance, gardening, benefits, manage, confident

### 5.4 Different types of expenses

1. Goods: dress, shoes, jewellery, suit and tie, flowers
   Services: hairdresser, manicurist, photographer, mobile phone service
2. a fixed b variable c fixed d variable e variable
3. Non-tax-deductible expenses: birthday gift for his wife, daughter's sports equipment, golf lessons
   Tax-deductible expenses: wages for his staff, rent for his shop, pizza oven for his shop
4. a true b true c true d false e false f true

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# Selected answers (cont'd)

## Topic 6: Needs and wants

### 6.1 Needs and wants puzzle

1. education 2. luxury 3. spend 4. budget
5. needs 6. survive 7. thrifty 8. save
9. expensive

### 6.2 Needs and wants – what's the difference?

1 By earning your own money
2 Needs are things people require to survive. Wants are things people would like to have but are not absolutely necessary for existence
3 Advertising, marketing, peer pressure
4 When someone is living in a rural area or where there is no public transport

### 6.3 Wants and debt

Sample answer:
Wants – Yummo pizza $24, Sofresh caramel bars $5, Good Style magazine $7.20, Chockchip cookies $4.30, Fizzo soft drink $6.40, Vanilla-scented room spray $5.10
Total amount saved: $52.00

## Topic 7: Financial goals and tracking expenses

### 7.1 Number puzzle

1. 984 2. 48 3. 105 4. 840 5. 592
6. 230 7. 2600

### 7.2 Financial goals – save now, spend later

1 a $5 b $15 c $20 d yes
2 a 12 months b $104 c more
3 a $50 b $125 c 46 months

### 7.3 Steps to tracking expenses

1 a true b false c false d true e true f false
2 Movie World
3 Bus ticket
4 $4.00, $3.50, $3.50
5 Transport
6 Cash

### 7.4 Amber's expenses – a case study

1 Food $100.30; Entertainment $12.50; Gifts $25.00; Personal $90.00; Donations $10.00; Car expenses $128.00; Rent $95.00; Electricity $23.00; Mobile $50.00; Clothing $22.00; Total expenses $555.80
2 Donations
3 Mobile ($50)
4 Car expenses, food, rent
7 Clothing
8 Week 4
9 More on car expenses
10 Rent
11 Entertainment and Clothing
12 For example, use energy efficient globes and turn off stand-by appliances and lights when they are not needed.
13 Yes
14 $50
15 No
16 Answers should be in the category of 'wants' rather than 'needs' so should not include rent, electricity or food.

## Topic 8: Budgets

### 8.1 Budgets

1 $135
2 Yes
3 $35 each week
4 Sample answers:
Advantages – teaches you the basics of budgeting, limits your spending, you can see how much money is left, it allows you to carry over unspent amounts or use them in other categories
Disadvantages – only suitable for cash, you have to carry envelopes, you need to organise the right change to put into each envelope

### 8.2 Budgets, banks and spreadsheets

1 $200
2 $197
3 $1655
4 Mobile and rent
5 Yes
6 Sportstuff clothing, Koolio clothing
7 $180
8 His bank balance will continue to decrease

### 8.3 Budget tracking tools

1 $212
2 $50
3 Food and drink
4 Less
5 Less by $38
6 $103.00
7 Debit card account

### 8.4 Budget and expense tracking apps

1 Eezy Biz Budget App
2 Eezy Biz Budget App and Smart Teen Money App
3 Smart Teen Money App
4 Best Buddy Budget App
5 Utrack Money App


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